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**INTERNAL LEGAL
RESEARCH MEMORANDUM**

IN RE: *S. Bradley Mell*

Case No.: 26-16834-EJO

Court: United States Bankruptcy Court
District of New Jersey

Hearing: July 16, 2026

Before: Hon. Eamonn J. O'Hagan

Subject: Opposition to Motion to Dismiss (Doc. 8);
Automatic Stay Relief; Mandatory Abstention

Date: June 28, 2026

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SECTION 1: PRELIMINARY STATEMENT

This memorandum is prepared by the state court litigation team that has lived in *B.B. v. S. Bradley Mell, et al.*, Docket No. ESX-L-7200-19 (Law Div., Essex Cnty.), for the better part of seven years. We know this record cold — the depositions, the orders, the MSA, the trust agreements, the appellate record, and the settlement that Nagel does not want this Court to know about. You are the bankruptcy specialist. We are the fact masters. This document is designed to put everything you need in one place so that you can walk into the July 16 hearing having internalized a complete factual picture, equipped with the specific documentary and testimonial record that defeats each prong of Nagel’s motion. Nothing in what follows is speculative; every factual assertion in this memorandum is grounded in a document we have read and can produce.

Bruce H. Nagel of Nagel Rice LLP, who represents B.B. in the underlying state court civil action, filed the pending Motion to Dismiss on June 23, 2026 — eleven days after Brad Mell filed his Chapter 7 petition and nine days after the state court action in which Nagel has been counsel for seven years was terminated by a dismissal order. (Doc. 8, filed 06/23/26; nagel-mtd-analysis.md.) The motion simultaneously seeks dismissal under 11 U.S.C. § 707(a) for alleged bad faith, a declaration of nondischargeability under § 523(a)(6), relief from the automatic stay under § 362(d)(1), and abstention under what Nagel cites as 28 U.S.C. § 1134(c)(1) and (c)(2) — a statute that does not exist. (nagel-mtd-analysis.md § 6.) Two additional facts about this motion require immediate attention. First, Nagel Rice LLP is itself a listed creditor of the bankruptcy estate — it holds a \$10,000 sanctions claim from the state court litigation, listed on Brad’s Schedule E/F at line 4.8. (SCHEDULES-SUMMARY.md § 2.) The attorney filing this motion to dismiss thus wears two hats before this Court: he is counsel for B.B., the largest potential creditor, and simultaneously a creditor in his own right. Second, and most critically, the motion’s central factual predicate — that the KRM and SBM Trusts are vehicles of fraud that evidence Brad’s bad faith — is demolished by a document Nagel himself negotiated: a March 6, 2026 Full and Final Settlement Agreement and Mutual Release (the “Trust Settlement”) in which Nagel, on behalf of his client Lilly Cannon (B.B.), accepted \$300,000 from those same trusts and executed a broad mutual release extending to “any current or future claims related to efforts to collect against any assets currently held by or in the possession of the KRM Trust or the SBM Trust on any judgment.” (KRM & SBM Civil Release Mar 6, 2026.pdf, § 3.) That release is not disclosed anywhere in the Motion to Dismiss. Nagel’s MTD characterizes those trusts as engines of fraud while sitting on a \$300,000 settlement that reflects the opposite understanding. This Court should be aware of that omission before the first page of Nagel’s brief is read.

Our candid assessment of the motion’s legal merits: the motion is weak, and it should lose on every contested ground. The Third Circuit in *In re Tamecki*, 229 F.3d 205, 207 (3d Cir. 2000), confines § 707(a) dismissal to “egregious cases” involving concealed assets, lavish lifestyles, and intent to avoid a single large debt through conduct akin to fraud or gross negligence. Brad’s petition fits none of those markers: he filed three binders of comprehensive schedules, disclosed every asset including the \$750,000 sitting in Nagel’s own trust account, disclosed every creditor including Nagel Rice LLP itself, disclosed every prior address including FCI Fort Dix, and presented a monthly deficit of negative \$1,052 on a zero-income budget. (SCHEDULES-SUMMARY.md §§ 2–5.) He has twelve creditors. The IRS, his ex-wife, and the New Jersey Division of Taxation are owed a combined \$575,000 in priority claims that have nothing to do with B.B. The cases Nagel cites either support Brad (*In re Hunt*: dismissal denied on full disclosure; *In re Murray*: involuntary case about creditor abuse of bankruptcy process, not debtor bad faith) or are factually distinguishable on multiple independent grounds. The § 1134 citation error (should be § 1334) on both the mandatory and permissive abstention sections, the § 523(a)(6) arguments that require an adversary proceeding not a motion, and the internal date inconsistencies in the Nagel Certification are markers of a brief drafted under pressure rather than careful analysis. The biggest uncertainty is Judge O’Hagan himself: sworn in February 17, 2026, zero published opinions, eleven years as Senior Bankruptcy Counsel in the U.S. Attorney’s Office for the District of New Jersey. He has argued § 707(a) motions and he will apply *Tamecki* faithfully. He will not reward overstatement by either side. Every assertion in the opposition must be bulletproof, every case description must be scrupulously accurate, and the settlement omission must be handled with surgical precision at the right moment.

SECTION 2: STATEMENT OF FACTS

A. Background: Steven Bradley Mell and the 2012 Family Trusts

Steven Bradley Mell is a fifty-two-year-old New Jersey resident and former principal of Gulfstream Capital Management LLC, a private investment and asset management firm operating out of Bedminster, New Jersey. Through Gulfstream and its related entities, Brad managed a portfolio of investments and operated a charter aviation business, Aero Care Services, LLC, which owned two aircraft used for business and personal travel. He and his then-wife Kimberly Ruggles Mell maintained a family home at 620 Black River Road, Bedminster, New Jersey, and together they raised three children — Emily, Eliza, and William Mell — who were born and raised in that

community.

In December 2012, Brad and Kimberly executed estate planning instruments that would become the principal focus of the trust-fraud allegations in the state court litigation: the Steven Bradley Mell 2012 Family Trust (“SBM Trust”) and the Kimberly Ruggles Mell 2012 Family Trust (“KRM Trust”). The timing of these instruments — December 18, 2012, specifically — is the most legally important fact in this case for § 707(a) purposes, and it cannot be overstated. The first sexual encounter between Brad and B.B. did not occur until June 20, 2017. (Appellate-div-opinion-analysis.md § 6; nagel-mtd-analysis.md § 5.) The trusts predate any cognizable debt to B.B. by approximately four years and eight months. At the moment those trust instruments were executed, Brad Mell had never met Lilly Cannon. She was ten years old.

The SBM Trust was established with Brad as the grantor and Kimberly Ruggles Mell as the trustee. The designated beneficiaries were Kimberly and the three children. The trust’s express purpose, as set forth in Article 3(A) of the Trust Agreement, was to “provide for the health, education (including, but not limited to, elementary, secondary, undergraduate, graduate and postgraduate education), maintenance and support of KIMBERLY, the Children and their issue, as well as for any expenses incurred by or for them, or any of them, because of any illness, operation, infirmity, or other medical emergency.” (SBM Trust SJ Motion Jan 15, 2026.pdf, Statement of Material Facts ¶¶ 10–12, citing Ex. 2 to Whalen Cert.) Brad himself was never a beneficiary of the SBM Trust. (Id. ¶ 46.) The KRM Trust was established with Kimberly Ruggles Mell as the grantor and three independent individuals as trustees — Michael Simon Scott among them — with Brad’s three children (Emily, Eliza, and William) as the designated beneficiaries. (KRM SJ Motion Jan 15, 2026-7-45.pdf, Statement of Undisputed Material Facts ¶¶ 5–8.) The KRM Trust Agreement expressly limited the trustee’s distribution authority to providing “for the health, education . . . maintenance and support of the Children and their issue.” (Id. ¶ 8.)

Upon formation of the two trusts in December 2012, the Bedminster family home was transferred into them: a recorded deed conveyed a 70% interest in the property to the KRM Trust and a 30% interest to the SBM Trust. (KRM SJ Motion, SUMF ¶¶ 13–14.) Simultaneously, Brad transferred his sole ownership interest in Aero Care Services, LLC — and through Aero Care, the two aircraft — into the SBM Trust. (SBM Trust SJ Motion, SUMF ¶ 31.) These were legitimate transfers of family assets into estate-planning vehicles at a time when Brad owed no obligation to the plaintiff, there was no pending or threatened litigation involving the plaintiff, and — as the plaintiff herself confirmed at her July 3, 2025 deposition — B.B. “had no clue of when, how, or why the Trusts were set up” and had “no knowledge on those trusts” prior to this litigation. (Whalen Response in support

SJ Mar 4, 2026.pdf, Response to CSMF ¶ 93, quoting B.B. Dep. at 22:12-16.) Brad testified at his own deposition in September 2021 that the SBM Trust was “formed in 2012 for estate planning purposes and to support his children.” (SBM Trust SJ Motion, SUMF ¶ 11.)

Nagel’s MTD characterizes these trusts as fraudulent mechanisms. But the legal reality is unassailable: under 11 U.S.C. § 548(a)(1), the two-year lookback window for federal fraudulent transfer avoidance runs from the petition date of June 12, 2026 back to June 12, 2024. The 2012 trust formations are fourteen years outside that window — categorically unreachable as a matter of statutory text. (part6-factual.md § B.1.) Under the New Jersey Uniform Voidable Transactions Act, N.J.S.A. 25:2-27, constructive fraudulent transfer claims reach only creditors “whose claim arose before the transfer was made.” Because B.B. is not a creditor whose claim predated December 2012, she cannot invoke the constructive fraud prong. N.J.S.A. 25:2-25, the actual fraud prong covering future creditors, theoretically covers B.B. — but requires proof that Brad formed those trusts in 2012 “with actual intent to hinder, delay, or defraud” a person he would not meet for another three years. That logical impossibility is the airtight trust timing defense. (part6-factual.md §§ B.2–B.3; FINAL-MEMO.md Part VIII.) Moreover, SOFA Line 19, signed by Brad under penalty of perjury, confirms he made no transfers to self-settled trusts within the ten-year lookback window from June 12, 2026 — a window that reaches back only to June 12, 2016, fully four years after the trusts were established. (SCHEDULES-SUMMARY.md § 5, SOFA Line 19.)

B. The Criminal Matter (2015–2024)

The facts of Brad’s criminal conviction are established by the record and this briefing does not minimize them. A necessary note on characterization, however, before the facts are set out: Brad Mell vehemently disputes any framing of his relationship with B.B. as “grooming,” sexual abuse, or predatory conduct. His consistent and firm position — which was never adjudicated on its merits because the criminal case resolved by plea — is that the relationship was one in which B.B. acted of her own volition, and that his conduct, while legally non-consensual by operation of New Jersey and federal age-of-consent law, did not involve predatory manipulation, coercion, or targeted grooming of a child. He was not convicted of sexual abuse, molestation, or any count requiring a finding of grooming or predatory intent. Post-incarceration, Brad’s Megan’s Law tier assessment under the New Jersey Sex Offender Monitoring Act resulted in a **Tier 1 classification** — the lowest risk designation, reserved for registrants the State has determined pose minimal risk of reoffense and who do not require active community notification. Tier 1 status is the State’s considered judgment that Brad does not present the profile of a predator. None of this is an argument for the opposition

brief, but it is essential internal context that governs how this team characterizes Brad's history in all documents prepared for or with counsel.

The legally established facts of the criminal record are as follows: Brad and B.B. had their first contact in or around the summer of 2015, when B.B. was approximately fourteen years old. (Appellate-div-opinion-analysis.md § 6.) The 34 sexual encounters documented in both Nagel's MTD and the Appellate Division's December 31, 2024 opinion occurred between June 20, 2017 and November 17, 2017, during which period B.B. was fifteen and sixteen years old and below the age of legal consent. (Nagel-mtd-analysis.md § 5; appellate-div-opinion-analysis.md § 1.) In December 2017, B.B.'s friend reported the matter to a teacher, who reported it to the police.

Brad was arrested in May 2018. He subsequently entered a federal plea agreement on May 13, 2019, pleading guilty to: Count 1, receipt of child pornography in violation of 18 U.S.C. § 2252A(a)(2); and Count 2, interstate travel for illicit sexual conduct including production of child pornography with Minor Victim 1, in violation of 18 U.S.C. § 2423(b). (FINAL-MEMO.md Part VIII.) He was sentenced on June 17, 2019 to a term of 84 months imprisonment, with five years of supervised release. He served the bulk of that sentence at FCI Fort Dix, in Burlington County, New Jersey. He was transferred to the Kintock Newark Halfway House, located at 50 Fenwick Street, Newark, New Jersey, on November 13, 2024, and was released on December 13, 2024. (SCHEDULES-SUMMARY.md § 1, SOFA Part 1.)

These facts are directly relevant to the bankruptcy proceeding in several ways that benefit Brad, not just Nagel. They explain three prior addresses disclosed on Brad's SOFA — FCI Fort Dix, Kintock Newark, and the current P.O. Box 835, Far Hills, New Jersey (his brother Courtney's address). There is nothing suspicious about a recently released federal prisoner listing his halfway house and his brother's address as prior residences; that is simply what a recently released federal prisoner's address history looks like. They explain why Brad's SOFA shows no income from employment or business operations for the current year or the prior two years — he was incarcerated. They explain why Brad's SOFA Part 11 shows no active business connections within the four-year lookback period — he was incarcerated for more than seven of the eight years of that window. They explain why the bankruptcy retainer was paid by his brother Courtney rather than Brad directly. And they establish with finality that Brad faced and accepted criminal accountability for his conduct. He did not litigate, did not appeal, did not deny. He pleaded guilty, served more than seven years of incarceration and supervision, and entered bankruptcy as a released federal prisoner with no income, no employment, and no assets other than retirement accounts, a vintage car, and funds held by others in escrow.

C. The Civil Litigation — *B.B. v. Mell*, ESX-L-7200-19 (2019–2026)

On October 2, 2019, B.B., through Bruce Nagel and Nagel Rice LLP, filed a civil complaint in the Superior Court of New Jersey, Law Division, Essex County, under Docket No. ESX-L-7200-19. The initial complaint named Brad Mell and certain business entities as defendants but did not yet name the KRM Trust, SBM Trust, or Trust Beneficiaries. (KRM & SBM Civil Release Mar 6, 2026.pdf, Recitals.) The complaint alleged causes of action arising from the same course of conduct that formed the basis of the federal criminal proceedings.

On January 27, 2020, the trial court entered a prejudgment writ of attachment. That attachment — and the approximately \$750,000 currently held in the Nagel Rice LLP attorney trust account as a result of it — is listed by Brad on his Schedule A/B as a disclosed asset at line 35. (SCHEDULES-SUMMARY.md § 3.) Nagel’s MTD describes the attachment as “approximately \$1 million dollars held in her counsel’s escrow account.” (Nagel-mtd-analysis.md § 8, Misrepresentation 6.) The precise figure, as Brad’s own schedules reflect, is \$750,000 in the Nagel Rice trust account — the other escrowed amounts (\$75,000 with the Greifinger firm and \$150,000 with McElroy Deutsch as attorneys for Gulfstream) represent funds from other proceedings. What is most notable about this attachment in the bankruptcy context is that Brad disclosed it voluntarily on his schedules — identified by custodian, by firm name, and by dollar amount. A debtor attempting to hide assets does not list the \$750,000 sitting in his adversary’s counsel’s trust account on the very first page of his financial disclosure.

On April 17, 2020, plaintiff filed the First Amended Complaint, adding the KRM Trust, SBM Trust, and Trust Beneficiaries as defendants. (KRM & SBM Civil Release, Recitals; KRM SJ Motion, SUMF ¶ 2.) The new causes of action against the trusts alleged unjust enrichment, constructive trust, and — when the Second Amended Complaint followed on December 13, 2021 — fraudulent transfer under the New Jersey Uniform Voidable Transactions Act in connection with proceeds from the 2021 boat sale. (KRM SJ Motion, SUMF ¶¶ 2–4.)

On March 26, 2021, the trial court entered a partial summary judgment on liability in favor of B.B. on Counts I, II, III, VII, and VIII of the First Amended Complaint — claims arising under the Child Sexual Abuse Act, the child exploitation statute, assault and battery, and two invasion of privacy counts. The court denied summary judgment on the false imprisonment count. This order, which features prominently in Nagel’s MTD as a supposedly dispositive adjudication of liability, was characterized by the New Jersey Appellate Division itself in footnote 2 of the December 31, 2024 opinion as “interlocutory and not a final judgment,” with the court further noting: “It is not clear from the record whether Mell responded to the summary judgment motion.” (Appellate-div-opinion-

analysis.md § 2, quoting A-2990-21 at fn. 2.) That is the controlling judicial characterization of that order for preclusion purposes in this bankruptcy proceeding. Moreover, the Appellate Division’s opinion makes clear that as of December 31, 2024 — more than three and a half years after the partial summary judgment — “Mell has yet to be deposed.” (Id. § 4.) The record from which Nagel now claims a complete liability determination is an interlocutory order entered on an incomplete record against a defendant who, through counsel, invoked his Fifth Amendment rights during civil discovery while facing parallel federal criminal prosecution. Comparative fault, the liability of the non-Mell defendants, and the fraudulent transfer claims against the trusts all remained unresolved. On July 23, 2021, a default judgment was entered against W.H. Mell Associates, Inc. in the state court proceedings. (Nagel-mtd-analysis.md § 5.)

The multi-year delay between the filing of suit in October 2019 and the trial scheduled for June 2026 is the period that Nagel now cites as evidence of Brad’s bad faith in filing for bankruptcy. That characterization inverts the actual history. The delay was caused, in the first instance, by Nagel himself. B.B., through Nagel Rice, filed an interlocutory appeal — designated as Docket No. A-2990-21 in the Superior Court of New Jersey, Appellate Division — challenging the trial court’s ruling on the permissible scope of deposition questioning during B.B.’s own deposition. The appeal was argued before a three-judge panel (Judges Accurso, Firko, and Natali) on November 10, 2022. The Appellate Division issued its decision on December 31, 2024 — more than two years after argument, more than five years after the suit was filed. (Appellate-div-opinion-analysis.md, Preliminary Identification, § 6.) The court’s entire holding was that the trial court’s deposition scope ruling was correct but the age-16 cutoff in the protective order was too restrictive — essentially granting neither side a meaningful victory after consuming three years of what would otherwise have been pre-trial preparation time. That three-year interlocutory appeal is the proximate cause of the “eve of trial” dynamic that Nagel now invokes. Under *In re Tamecki*’s totality-of-circumstances test, a court is entitled to consider which party created the eve. (FINAL-MEMO.md Part II, § C.1.)

Trial was finally scheduled to commence on Monday, June 15, 2026 — a date established only after the Appellate Division’s December 2024 decision allowed the case to proceed. (Nagel-mtd-analysis.md § 5, noting the internal inconsistency in Nagel’s papers between June 14 and June 15; June 15, 2026 was the Monday, confirmed by the Court’s OSC of that date.) Brad Mell filed his voluntary Chapter 7 petition on June 12, 2026, the Friday before trial. He represented himself pro se on the state court notice of filing (Bankruptcy filing.pdf, filed ESX-L-007200-19 at 3:28 PM on June 12, 2026), and simultaneously directed all inquiries to his bankruptcy counsel of record, Anthony Sodono III, Esq., of McManimon, Scotland & Baumann, LLC.

D. The March 2026 Trust Settlement — The Omitted Bombshell

Before the June 2026 trial date could arrive — and while Nagel was presumably preparing his trial strategy — a significant chapter in the B.B. v. Mell litigation closed quietly, without public announcement. In late February and early March 2026, Nagel Rice’s own partner Michael J. Paragano, on behalf of B.B. (Lilly Cannon), negotiated and executed a full and final settlement of all claims against the KRM Trust, the SBM Trust, and the Trust Beneficiaries. The settlement is documented in three primary instruments now in our possession:

The first is a February 27, 2026 transmittal letter signed by Paragano and addressed to counsel for the KRM Trust (A. Ross Pearlson, Esq., Chiesa Shahinian & Giantomasi PC) and counsel for the SBM Trust (Patrick J. Whalen, Esq.). The letter transmits the settlement release and a W-9, and directs: “Kindly issue a settlement check in the amount of \$300,000.00 made payable to Lillian Cannon & Nagel Rice, LLP.” (Nagel Settlement Letter Feb 27, 2026.pdf.) That letter also contains a separate February 26, 2026 confirmation signed by Bruce H. Nagel himself stating: “This will confirm that our firm will not sue the Kimberly Ruggles Mell 2012 Family Trust or the Steven Bradley Mell 2012 Family Trust in the future.” The second instrument is the Full and Final Settlement Agreement and Mutual Release itself, executed in counterparts between March 4 and March 6, 2026. (KRM & SBM Civil Release Mar 6, 2026.pdf.) The parties to the settlement are Lilly Cannon (the plaintiff, represented by Nagel Rice LLP), the KRM Trust (represented by Chiesa Shahinian through A. Ross Pearlson), the SBM Trust (represented by Patrick J. Whalen), Michael Simon Scott as KRM Trust Trustee, Kimberly Ruggles Mell as SBM Trust Trustee and SBM Trust Beneficiary, and Emily, Eliza, and William Mell as Trust Beneficiaries. (Id., Parties recital.) The third instrument is the Mutual Release executed as Exhibit A to the settlement agreement, covering claims between the Cannons and the trust parties. (Id., Exhibit A.)

The settlement payment is unambiguous: “Within ten (10) days of the full execution of this Agreement by all Parties, the KRM Trust and SBM Trust shall pay to Plaintiff the combined and total sum of Three Hundred Thousand and 00/100 (\$300,000.00) Dollars.” (Id. ¶ 2.) The release language is equally unambiguous and its scope should be carefully noted by this Court:

“Each of the Parties . . . shall knowingly and voluntarily remise, release, and forever discharge each other Party and each of the Party’s respective current, former and future agents, assigns, successors, beneficiaries, representatives, trustees, fiduciaries, executors, administrators, employees, insurers, attorneys, representatives and any person under their control . . . from all actions, causes of action, suits, debts, dues, sums of money, accounts, costs, expenses, liabilities or causes of action whatsoever

. . . from the beginning of time and through the date of the full execution of this Agreement, including but not limited to any claims that were or could have been asserted in the Lawsuit against the Releasees, as well as any current or future claims related to efforts to collect against any assets currently held by or in the possession of the KRM Trust or the SBM Trust on any judgment that any Party may obtain against any other individual or entity in connection with the Lawsuit.”

(KRM & SBM Civil Release Mar 6, 2026.pdf ¶ 3, emphasis added.) The settlement expressly contemplated the possibility that B.B. might obtain a judgment against Brad Mell personally — and released “any current or future claims” against KRM Trust and SBM Trust assets as a means of collecting on that judgment. This is not boilerplate. It is a specifically negotiated forward-looking release that bars B.B. from doing precisely what Nagel’s MTD argues this Court should enable: treating the KRM and SBM Trust assets as available to satisfy a judgment against Brad.

The dismissal mechanics under the settlement confirm that both trust SJ motions — filed January 15, 2026 and returnable March 20, 2026 — were withdrawn as part of the settlement. Paragraph 5 of the agreement states: “The KRM Trust, SBM Trust, and Trust Beneficiaries shall subsequently withdraw any pending summary judgment motions asserted against Plaintiff.” (Id. ¶ 5.) The state court docket confirms this: the KRM Trust dismissal was filed March 16, 2026 (KRM Dismissal Mar 16, 2026.pdf) and the SBM Trust dismissal was filed March 18, 2026 (SBM Trust dismissal Mar 18, 2026.pdf).

Three months later, on June 23, 2026, Nagel filed Doc. 8 in this Court. The Motion to Dismiss devotes substantial portions of its Statement of Facts to characterizing the KRM and SBM Trusts as fraudulent mechanisms by which Brad sheltered assets from B.B. The Nagel Certification attached to the motion describes the trusts as having been “utilized . . . as a mechanism to avoid B.B.’s potential claims and to transfer marital assets.” (Nagel-mtd-analysis.md § 4.) The motion does not mention the March 2026 settlement. It does not disclose that Nagel’s own firm received a portion of a \$300,000 payment from those trusts less than ninety days before the motion was filed. It does not disclose the release of “any current or future claims” against trust assets. It does not disclose that the KRM Trust SJ motion and the SBM Trust SJ motion — both of which were litigated on the proposition that the trusts are legitimate estate-planning vehicles with legally cognizable defenses — were withdrawn as part of the settlement, with no admission of liability.

The settlement’s confidentiality clause anticipates court disclosure: paragraph 10 permits any party to “disclose a copy of this Agreement to a Court of Law, in a sealed envelope marked ‘Confidential,’ for the purpose of enforcing the terms of this Agreement or effectuating any of the purposes and obligations stated herein.” (Id. ¶ 10.) The settlement is thus expressly contemplated as disclosable to

a court. That Nagel elected not to disclose it to this Court, while simultaneously relying on the trust-fraud narrative as the centerpiece of his bad-faith argument, raises serious questions under N.J. RPC 3.3(a)(5) (duty to disclose material facts to the tribunal) and Fed. R. Bankr. P. 9011(b)(3) (factual certifications must have evidentiary support). (FINAL-MEMO.md Part VII; part6-factual.md § C.3.)

There is an additional strategic significance to the trust settlement that goes beyond the candor issue. The two trust SJ motions litigated precisely the propositions that Nagel's MTD now inverts. Pat Whalen, on behalf of the SBM Trust, submitted a nineteen-page statement of material facts establishing, through deposition testimony, recorded deeds, closing documents, and the MSA itself, that: (1) the SBM Trust was formed in December 2012 for legitimate estate planning purposes, (2) Aero Care and the aircraft were transferred into the SBM Trust in 2012, fully five years before any encounter with B.B., (3) the plane sales in September and October 2018 were arm's-length transactions at fair market value to unrelated third parties (Hoover Aviation and Trekker Holdings/Puerto Rico Wire Services), (4) the Bedminster home was a trust asset from December 2012 onwards and the SBM Trust received its contractual 30% of the net sale proceeds in April 2019 in accordance with the MSA, and (5) B.B. herself acknowledged at deposition that she "had no knowledge on those trusts." (SBM Trust SJ Motion Jan 15, 2026.pdf, SUMF ¶¶ 6–63.) Pearlson's motion on behalf of the KRM Trust made the same showing with respect to the KRM Trust's 70% interest in the Bedminster home, the trust's \$964,884 share of sale proceeds, and the boat-sale distributions representing repayment of a documented loan from June 2016 — more than a year before the conduct involving B.B. began. (KRM SJ Motion, SUMF ¶¶ 5–22.) The settlement that followed those SJ motions was not a concession by the trusts of any liability. The agreement expressly states: "the Parties desire to resolve the Claims and Third-Party Claims amicably, without any factual or legal concessions or admissions of liability of any kind." (KRM & SBM Civil Release ¶ 4.) The trusts' agreement to pay \$300,000 to resolve litigation that had been pending for six years — with trials and depositions and third-party claims — represents a commercial resolution of ongoing litigation risk, nothing more. It does not establish that the trusts were fraudulent. It establishes that Nagel and his client concluded it was worth \$300,000 to be rid of the litigation, and it establishes that B.B. released trust assets as a collection vehicle. Nagel cannot now tell this Court that those same trusts are engines of fraud while his firm is cashing the settlement check.

[!] COUNSEL NOTE — SETTLEMENT CONFIDENTIALITY AND DISCLOSURE PROTOCOL

*We have the actual settlement documents in our possession. The settlement agreement contains a confidentiality clause (paragraph 10) that restricts voluntary public disclosure. The specific dollar amount of the settlement (\$300,000, as stated in paragraph 2 of the agreement) is protected by that clause. **Our strong recommendation is that counsel not publicly state the specific dollar amount in the opposition brief or at oral argument without first obtaining judicial protection.***

What counsel MUST disclose: *The fact of the settlement — that Nagel negotiated and executed a full and final settlement with the KRM and SBM Trusts in March 2026, that Nagel’s firm received value from those trusts as part of that settlement, and that the settlement contains a broad release expressly prohibiting future collection efforts against trust assets on any judgment B.B. might obtain. This disclosure is required by RPC 3.3(a)(5). Nagel’s omission of the settlement from his papers is itself a material omission to the tribunal; we cannot answer that omission with silence of our own. The release language itself — paragraph 3’s prohibition of “any current or future claims related to efforts to collect against any assets currently held by or in the possession of the KRM Trust or the SBM Trust on any judgment” — is the legally operative piece and is fully disclosable regardless of the confidentiality provision, because it is the operative legal bar to the very relief Nagel seeks.*

What counsel should protect: *The specific financial terms, particularly the dollar amount. Our recommended approach: file the complete settlement agreement with the Court in a sealed envelope marked “Confidential,” as expressly authorized by paragraph 10 of the agreement itself (“disclose a copy of this Agreement to a Court of Law, in a sealed envelope marked ‘Confidential,’ for the purpose of enforcing the terms of this Agreement or effectuating any of the purposes and obligations stated herein”). In the opposition brief and at oral argument, reference the settlement by the existence of the agreement and the release language, and offer the Court sealed access to the full document on request.*

The basis for judicial protection: *The KRM and SBM Trusts are not Brad’s trusts — their beneficiaries are his children (Emily, Eliza, and William Mell) and Kimberly Ruggles Mell. Those beneficiaries entered into this settlement at substantial cost precisely to end six years of litigation exposure and to protect the trust assets from further proceedings. Publicly disclosing the specific settlement amount would expose the trust beneficiaries — Brad’s children — to further vexatious litigation from B.B.’s camp, and would undermine the very protection the settlement was designed to provide. The settlement was the mechanism by which innocent third-party beneficiaries (the children) secured their legal peace. This Court has ample authority to enter an appropriate protective order under Fed. R. Bankr. P. 9018 and the Court’s inherent authority to protect parties before it from*

collateral harm.

Practical note: *If Nagel objects to the protective order on the ground that the settlement is a public record, the response is that the agreement itself authorizes only judicial disclosure (§ 10), not public filing. If the Court is inclined to rule on the motion without reviewing the sealed document, the release language in paragraph 3 — which can be stated publicly and verbatim — is independently sufficient to make the candor argument without disclosure of the amount.*

E. Brad’s Financial Condition at Filing — The Schedule Facts

On June 12, 2026, Brad Mell filed a voluntary petition for relief under Chapter 7 of the Bankruptcy Code. (Bankruptcy filing.pdf; US Bankruptcy Court NJ - Live Database.pdf, Docket Entry 1, filed 06/12/2026.) The petition was accompanied by a credit counseling certificate and represented by McManimon, Scotland & Baumann, LLC. On June 25, 2026, two weeks after the initial petition, Brad filed the complete set of schedules, statement of financial affairs, means test form, statement of intention, and all required attachments. (SCHEDULES-SUMMARY.md § 1.) These are not bare-bones filings. They are a comprehensive forty-one-page financial disclosure comprising thirteen official forms, signed under penalty of perjury by Steven Bradley Mell on June 25, 2026. The contrast with the kind of schedules that typically support bad-faith dismissals — concealed business entities, hidden bank accounts, undisclosed real estate — is stark and immediate.

The schedules disclose total assets of \$2,181,376. That figure is striking on its face, but the substance behind it explains, rather than undermines, the bankruptcy filing. The two most significant components are Brad’s retirement accounts: \$350,000 in the Gulfstream CM Profit Sharing Plan and Cash Balance Plan and \$740,000 in a Vanguard 401(k) account, together totaling \$1,090,000. Both accounts are claimed as fully exempt under 11 U.S.C. § 522(d)(12), which protects ERISA-qualified retirement funds without dollar limit. (SCHEDULES-SUMMARY.md § 3, Schedule C.) These retirement funds are legally unavailable to general unsecured creditors, including B.B., regardless of whether this bankruptcy case proceeds or is dismissed. Their existence in the schedules does not evidence wealth available for distribution; it reflects mandatory statutory disclosure of exempt assets. The next largest component is \$750,000 listed on Schedule A/B line 35 as the civil attachment funds held in the “Nagel & Rice LLP Attorney Trust Account.” (Id.) That \$750,000 is the product of the January 27, 2020 prejudgment attachment from the state court proceeding. Brad disclosed it — identified specifically by the name of Nagel’s own firm as custodian — transparently and voluntarily. The balance of the financial asset column consists of \$75,000 held in the Greifinger

firm's trust account and \$150,000 held by McElroy Deutsch as attorneys for Gulfstream, both of which are similarly disclosed without concealment. A 1995 Ferrari 355 with 45,000 miles is listed on Schedule A/B at an estimated value of \$75,000. Only \$22,500 of that value is claimed exempt (split between the § 522(d)(2) motor vehicle exemption and the § 522(d)(5) wildcard), leaving approximately \$52,500 in non-exempt equity available to the bankruptcy estate for the benefit of creditors. Two Jeep Wranglers (2010 and 2017), a 1945 Jeep CJ2A, and a 2012 Yamaha dirt bike round out the vehicle schedule. WNFW LLC — the only disclosed business interest — is listed at 99% ownership with a stated value of \$97. (Id.)

Against this asset picture stands a liability schedule of twelve creditors with a total of \$1,830,000 in stated claims. This is not a two-party dispute. The creditor list includes, in addition to B.B.'s unknown/contingent/unliquidated/disputed claim:

The Internal Revenue Service, with a priority unsecured claim of \$300,000 in federal income taxes (Schedule E/F 2.1). The United States Attorney and the United States Attorney General are listed as additional notice parties for this claim, indicating a federal tax debt of substance and formality. Kimberly Mell (Brad's ex-wife), with a priority unsecured domestic support obligation of \$200,000 arising under the Marital Settlement Agreement (Schedule E/F 2.2), represented by Patrick J. Whalen, Esq. — the same attorney who represented the SBM Trust in its summary judgment motion. Domestic support obligations are non-dischargeable under 11 U.S.C. § 523(a)(5) regardless of the outcome of this proceeding. The New Jersey Division of Taxation, with a priority unsecured claim of \$75,000 in state income taxes (Schedule E/F 2.3). Retired Superior Court Judge Glenn Berman, through Greenbaum Rowe Smith & Davis LLP, with a \$60,000 nonpriority unsecured claim (Schedule E/F 4.2) — a third-party arm's-length creditor. Courtney (Peter) Mell, Brad's brother, with a \$200,000 personal loan claim (Schedule E/F 4.5), listed as not disputed — the same brother who pays Brad's monthly living support and who funded the \$5,000 bankruptcy retainer. Diana Mell, with a \$75,000 loan claim (Schedule E/F 4.6). The KRM Trust itself, with an \$80,000 deficiency claim listed as contingent/unliquidated/disputed (Schedule E/F 4.4). The SBM Trust, with a \$30,000 deficiency claim listed as contingent/unliquidated/disputed (Schedule E/F 4.9). Kimberly Mell for the benefit of W.H. Mell Associates, Inc., with a contingent claim of \$800,000 (Schedule E/F 4.7). And Nagel Rice LLP itself — Bruce Nagel's firm, the firm that filed this motion to dismiss — with a \$10,000 nonpriority unsecured sanctions claim arising out of the state court litigation (Schedule E/F 4.8, identified by address as "Attn: Bruce H. Nagel, Esq."). (SCHEDULES-SUMMARY.md §§ 2–3.)

Brad's income picture is equally clear, and equally inconsistent with the profile of a strategic abuser

of the bankruptcy system. He is not employed. He has no wages, no business income, no rental income, no investment income, no Social Security, no pension, and no government assistance. His only income is \$3,500 per month in support from his brother Courtney — the same brother who is also a listed creditor. His monthly expenses, documented on Schedule J, total \$4,552: \$2,000 for rent (at a discounted rate from Courtney, who also holds the personal loan), \$500 for utilities, \$1,000 for food, and the balance for basic living necessities. The monthly deficit is negative \$1,052. Brad acknowledged on Schedule J, line 24, that he expects his rent to increase, as the current \$2,000 rate is below market. (SCHEDULES-SUMMARY.md §§ 4–5.) He cannot cover his basic living expenses from his only income source, which is the discretionary goodwill of his brother. The attorney’s retainer — \$5,000 — was paid by that brother. (Id. § 1, Attorney Retainer.)

The means test result is unambiguous. Form 122A-1 shows current monthly income of \$0.00 for CMI purposes (the brother’s support payments are not counted under § 101(10A)). Annualized, that produces zero income against the New Jersey median household income for a single-person household of \$87,173. The presumption of abuse checkbox — box 14a — is checked, confirming that no presumption arises. Form 122A-2 was not filed because it was not required. (SCHEDULES-SUMMARY.md § 1, Means Test Result.) Congress designed the means test precisely as a mechanical filter to identify strategic Chapter 7 filers whose income supports meaningful repayment. Brad failed to trigger that filter in either direction — he does not have the income to make it a close question.

The Statement of Financial Affairs confirms the clean SOFA record. No income from employment or business in the current year or either of the prior two years (SOFA Lines 4–5). No payments to any creditor exceeding the applicable threshold within 90 days (SOFA Line 6). No payments to insiders within one year (SOFA Line 7). No gifts over \$600 within two years (SOFA Lines 13–14). No property transfers within two years (SOFA Line 18). No self-settled trust transfers within ten years (SOFA Line 19). No closed financial accounts within one year (SOFA Line 20). No safe deposit boxes. No offshore accounts. No gambling losses. (SCHEDULES-SUMMARY.md § 5.) The SOFA also discloses Brad’s pending lawsuit against Guardian Insurance for reinstatement of a long-term disability insurance policy (Case No. 3:25-cv-01515-ZNQ-RLS, U.S. Dist. Ct. DNJ), which is both a disclosed asset and evidence of continuing financial hardship that is independent of and predates the bankruptcy filing.

The three prior addresses disclosed on the SOFA — FCI Fort Dix, Kintock Newark Halfway House (50 Fenwick Street, November 13, 2024 to December 13, 2024), and P.O. Box 835, Far Hills — are precisely the addresses one would expect from a recently released federal prisoner. They are

not suspicious. They are the transparent disclosure of a person who spent the better part of seven years incarcerated and is now living at his brother's address. The filing of the petition the Friday before trial, under these circumstances, reflects not the calculated strike of a wealthy debtor using bankruptcy as a shield, but the act of a person with a monthly deficit of \$1,052, twelve creditors, \$300,000 in IRS debt, \$200,000 in domestic support obligations, and a potentially unliquidated damages claim of unknown magnitude — who reached the conclusion, on the Thursday before his damages trial, that Chapter 7 was his only available path.

F. Nagel's Motion and the Eve-of-Trial Filing

The filing of the Chapter 7 petition on June 12, 2026, was immediately followed by the automatic stay arising under 11 U.S.C. § 362(a). Brad's bankruptcy counsel filed notice of the automatic stay in the state court proceedings the same afternoon. (Bankruptcy filing.pdf, filed ESX-L-007200-19 at 3:28:56 PM on June 12, 2026.) On June 15, 2026 — the trial date on which *B.B. v. Mell* would have commenced — the Bankruptcy Court, Judge O'Hagan presiding, entered an Order to Show Cause why the case should not be dismissed for failure to file required documents (Doc. 4). That OSC was the vehicle by which the Court put Brad on notice to complete his schedules; he complied fully on June 25, 2026. (SCHEDULES-SUMMARY.md § 1; US Bankruptcy Court NJ - Live Database.pdf, Docket Entry 4.)

On June 23, 2026 — eleven days after the petition was filed — Bruce Nagel, for B.B., filed the pending Motion to Dismiss, consisting of the Notice of Motion (Doc. 8), a twenty-three page Brief (Doc. 8-1), and the Certification of Bruce H. Nagel with 115 pages of exhibits (Doc. 8-2). (Nagel-mtd-analysis.md, Document Structure.) The motion was accompanied by a Notice of Appearance (Doc. 9), through which Nagel formally appeared as counsel in this Court. The hearing is scheduled for July 16, 2026 at 10:00 AM in Courtroom 2, Trenton, before Judge O'Hagan. (US Bankruptcy Court NJ - Live Database.pdf.)

Nagel's decision to file the motion when he did requires a word of context. Nagel Rice LLP appears on Brad's Schedule E/F as a creditor — Nagel's own firm holds a \$10,000 sanctions claim arising from the same state court litigation in which Nagel is counsel for B.B. (Schedule E/F 4.8.) He is thus simultaneously: (a) counsel for the largest potential creditor of the estate; (b) a named creditor of the estate in his own firm's right; and (c) a party who negotiated, on behalf of his client, the March 2026 settlement that released the trust assets he now attacks. The opposition to this motion must handle the layered nature of that position with care and appropriate precision. The candor and conflict arguments are powerful, but they are best deployed strategically rather than as an opening

salvo.

The motion's factual narrative rests on three propositions: that the timing of Brad's filing is inherently suspicious, that the trusts are fraudulent transfer vehicles, and that Brad's schedules are deficient. (Nagel-mtd-analysis.md §§ 4–5, 8.) All three propositions are answerable on the record as it exists. As of June 23, 2026, when Nagel filed the motion, Brad had not yet filed his complete schedules — he filed them on June 25. Nagel's statement at Doc. 8-1, page [reference pending CM/ECF verification], that “as of this date, Mell has not corrected these deficiencies,” was accurate when written, rendered moot two days later, and should be noted as such in the opposition without undue emphasis. The MTD also cites as the statutory basis for mandatory abstention “28 U.S.C. § 1134(c)(2)” — a provision that does not exist in Title 28. (Nagel-mtd-analysis.md § 6.) The correct citation is 28 U.S.C. § 1334(c)(2). This error recurs identically in the permissive abstention section. It is a marker, not a dispositive defect — but it signals the character of the submission to a judge who has spent eleven years as USAO bankruptcy counsel and will recognize the error on first read.

The motion's lead bad-faith theory — that Brad filed the petition as a tactical maneuver to avoid a damages trial — does not engage with the actual record. Brad is insolvent by any honest measure. He has a monthly deficit. He has a \$300,000 federal tax debt. He has a \$200,000 domestic support obligation. He faces a damages trial in which a jury could award a judgment that would dwarf the \$750,000 already escrowed, with no mechanism to satisfy such a judgment other than the retirement accounts that are fully exempt. That is not the calculation of a tactical filer. It is the calculation of a person who has run out of options and whose only legitimate path to a financial fresh start runs through the federal bankruptcy court.

End of Part 1 (Sections 1 and 2). Part 2 will address the legal arguments in opposition to § 707(a) dismissal. Part 3 will address § 523(a)(6) nondischargeability. Part 4 will address abstention. Part 5 will address stay relief. Part 6 will address the § 362(k) cross-motion and the settlement disclosure issues.

Source Documents:

Source	Citation Short Form Used Above
Nagel MTD Analysis (research-output)	nagel-mtd-analysis.md
Final Research Memo (research-output)	FINAL-MEMO.md
Factual Analysis Memo (research-output)	part6-factual.md
Brad Mell's Schedules Summary (research-output)	SCHEDULES-SUMMARY.md
Appellate Division Opinion Analysis (research-output)	appellate-div-opinion-analysis.md
KRM & SBM Civil Release, signed March 4–6, 2026	KRM & SBM Civil Release Mar 6, 2026.pdf
Nagel Settlement Letter and Confirmation, Feb 26–27, 2026	Nagel Settlement Letter Feb 27, 2026.pdf
SBM Trust Summary Judgment Motion, filed Jan 15, 2026	SBM Trust SJ Motion Jan 15, 2026.pdf

Source	Citation Short Form Used Above
KRM Trust Summary Judgment Motion, filed Jan 15, 2026	KRM SJ Motion Jan 15, 2026-7-45.pdf
Whalen Response to SJ Counterstatement, filed Mar 4, 2026	Whalen Response in support SJ Mar 4, 2026.pdf
KRM Trust Dismissal, filed Mar 16, 2026	KRM Dismissal Mar 16, 2026.pdf
SBM Trust Dismissal, filed Mar 18, 2026	SBM Trust dismissal Mar 18, 2026.pdf
Bankruptcy Filing Notice to State Court, June 12, 2026	Bankruptcy filing.pdf
PACER Docket, Case 26-16834-EJO	US Bankruptcy Court NJ - Live Database.pdf

All Drive documents accessible in the “Mell bankruptcy” Google Drive folder (folder ID: 1X6lTIV0hgm4yOVu6Rc6Ca6v2B).

*This memorandum is protected by the attorney-client privilege and the attorney work-product doctrine. Do not disclose without the express authorization of lead counsel. All citations to case law require Westlaw/PACER verification before filing. All **[VERIFY BEFORE FILING]** flags in the full research file must be resolved before any representation is made to the Court.*

SECTION 3: SUMMARY OF THE MOTION TO DISMISS — CRITICAL ANALYSIS

3.A: MTD Overview and Filing Context

Bruce H. Nagel of Nagel Rice LLP filed the Motion to Dismiss as Doc. 8 in this proceeding on June 23, 2026 — eleven days after Brad filed the Chapter 7 petition and, critically, nine days after the Superior Court of New Jersey dismissed the underlying civil action without prejudice pursuant to the Zunic order on June 12, 2026. The motion package consists of three components: (1) the Notice of Motion (two pages), (2) the Memorandum of Law in Support (twenty-three pages), and (3) the Certification of Bruce H. Nagel with 115 pages of exhibits. (nagel-mtd-analysis.md, Document Structure.)

Simultaneously with the MTD, Nagel filed a Notice of Appearance (Doc. 9), through which he formally entered this bankruptcy case. This was his first appearance before Judge O’Hagan. It is worth noting at the outset that the motion’s caption contains an error that counsel should flag immediately: the Notice of Motion (Doc. 8) states the case number as 26-16843, but the CM/ECF docket header on that same document reads “Case 26-16834-EJO.” The correct case number is 26-16834-EJO. (Nagel-mtd-analysis.md § 8, Misrepresentation 3.) This error is a marker of a brief that was drafted quickly and without the care that an experienced federal bankruptcy court practitioner would normally exercise. Judge O’Hagan — eleven years as USAO Senior Bankruptcy Counsel — will notice it. We point it out because it sets the right expectations for what follows in the motion’s twenty-three pages of argument.

The motion seeks four forms of relief simultaneously: (1) dismissal of the Chapter 7 petition under 11 U.S.C. § 707(a) for alleged bad faith; (2) a declaration of nondischargeability under § 523(a)(6) for willful and malicious injury; (3) relief from the automatic stay under § 362(d)(1) for cause; and (4) abstention under what Nagel cites as 28 U.S.C. § 1134(c)(1) and (c)(2). The statute Nagel cites for abstention — § 1134 — does not exist. The correct citation is § 1334. This error appears twice in the motion and infects the entirety of the abstention section. (Part4-abstention.md, Threshold Alert; nagel-mtd-analysis.md § 6.)

The relief sought is internally contradictory. Nagel asks this Court simultaneously to dismiss the case entirely and to declare the debt nondischargeable — two forms of relief that cannot both be granted in the same proceeding. If the case is dismissed, there is no discharge, so a nondischargeability determination is moot. If the case is retained for a nondischargeability determination, dismissal has been denied. Nagel has written the motion as a kitchen-sink document that throws everything at the wall without disciplining the internal logic. That incoherence is an opportunity for the opposition.

3.B: Nagel's Statement of Facts — The Omissions and Errors

Nagel's Statement of Facts runs nine pages and is organized into three subheadings: (A) Mell's Sexual Abuse of B.B. and the State Court Action; (B) Mell's Improper Attempts to Shield His Assets From Creditors; and (C) Mell Files For Chapter 7 Bankruptcy In Bad Faith On The Eve Of Trial. (Nagel-mtd-analysis.md, Document Structure.) The narrative reads fluently and is not unintelligent advocacy. Our job is to tell you where it is wrong, where it is misleading, and what it leaves out entirely.

The Trust Settlement — The Glaring Omission

The most important fact missing from Nagel's Statement of Facts is the March 2026 Trust Settlement. The motion devotes substantial real estate to characterizing the KRM Trust and SBM Trust as "fraudulent mechanisms" by which Brad allegedly sheltered assets from B.B. The Nagel Certification at ¶¶ 15-21 describes the trust structure, the plane sales, the Aero Care transfer, the Bedminster home transaction, and the boat sale. All of this is presented under the subheading "Mell's Improper Attempts to Shield His Assets From Creditors." (Nagel-mtd-analysis.md § 4.)

What the motion does not disclose is that Nagel himself, on behalf of his client Lilly Cannon, executed a Full and Final Settlement Agreement and Mutual Release with the KRM Trust and SBM Trust in February and March 2026. (KRM & SBM Civil Release Mar 6, 2026.pdf.) The settlement paid \$300,000 to B.B. The release language bars "any current or future claims related to efforts to collect against any assets currently held by or in the possession of the KRM Trust or the SBM Trust on any judgment that any Party may obtain against any other individual or entity in connection with the Lawsuit." (Id. ¶ 3.) Nagel negotiated that release. His firm received a portion of the \$300,000. Three months later, Nagel filed this motion asserting that those same trusts are fraudulent conveyance vehicles — without mentioning the settlement to this Court.

This omission raises serious issues under N.J. RPC 3.3(a)(5), which prohibits a lawyer from knowingly failing to disclose to the tribunal a material fact knowing that the omission is reasonably certain to mislead the tribunal. The settlement is not buried in a document production. Nagel signed it. He received value from it. He then filed pleadings asserting fraud by the entities with which he had just settled. The settlement's own confidentiality clause at paragraph 10 expressly permits disclosure to a court of law for purposes of enforcing the agreement or effectuating its purposes. There is no justification for the omission other than tactical advantage. Part 1 of this briefing, in the Counsel Note following Section 2.D, sets out our recommended disclosure protocol in detail. That protocol must be followed.

The Interlocutory Appeal Omission — Who Created the “Eve”?

Nagel’s Statement of Facts presents the seven-year timeline of the civil litigation as a simple story of patience by B.B. and delay by Mell. The motion says Brad “filed for bankruptcy on the eve of trial” and emphasizes that the trial “was finally scheduled to begin on Monday, June 15, 2026.” (Nagel-mtd-analysis.md §§ 5, 7.)

What Nagel does not mention is that the majority of the delay between the filing of suit in October 2019 and the trial date of June 2026 was caused by his own interlocutory appeal. Nagel Rice, on behalf of B.B., filed an interlocutory appeal (A-2990-21) challenging the trial court’s ruling on the permissible scope of deposition questioning during B.B.’s own deposition. That appeal was argued before a three-judge panel on November 10, 2022. The Appellate Division issued its decision on December 31, 2024 — more than two years after argument, more than five years after the suit was filed. (Appellate-div-opinion-analysis.md, Preliminary Identification, § 6.) The Appellate Division’s ruling was largely a victory for the trial court: the deposition scope ruling was correct, but the age-16 cutoff in the protective order was somewhat too narrow. Neither party gained a material advantage from the two-year wait. The trial date of June 2026 was set only after the December 2024 decision allowed the case to proceed. The gap between the Appellate Division’s decision (December 2024) and the trial date (June 2026) is approximately eighteen months.

Nagel created the “eve” he now invokes. A court applying the totality-of-circumstances standard under *In re Tamecki*, 229 F.3d 205, 207 (3d Cir. 2000), is entitled to consider which party caused the scheduling dynamics that preceded the filing.

The Partial Summary Judgment Overstatement

Nagel’s motion repeatedly characterizes the March 26, 2021 partial summary judgment as a “judgment of liability against Mell” for sexual abuse. (Nagel-mtd-analysis.md § 8, Misrepresentation 4.) The motion says in Section IV(a)(2) that “B.B. already has a judgment of liability against Mell — and all that is left to be determined is the quantum of damages.” This characterization is materially overstated in three respects.

First, the New Jersey Appellate Division in the December 31, 2024 opinion — the very court that heard the appeal of this same case — described the March 2021 order in footnote 2 as “interlocutory and not a final judgment.” That is the controlling judicial characterization of the order for any preclusion purpose in this bankruptcy proceeding. Second, the Appellate Division also noted: “It is not clear from the record whether Mell responded to the summary judgment motion.” If Mell did not respond, the partial summary judgment may have been entered under N.J. Court Rule 4:23-5(a)(2)

as a discovery sanction — which involves no evidentiary hearing, no testimony, and no merits finding on any element of any claim. A discovery sanction is not a “judgment of liability” in any substantive sense. Third, the partial summary judgment covered only Counts I, II, III, VII, and VIII of the First Amended Complaint, not the operative Second Amended Complaint. Nagel’s statement that “all that is left to be determined is the quantum of damages” is overstated.

These are not just evidentiary points for the § 523(a)(6) argument. They go to the good faith of the motion itself. The motion’s foundational factual premise — that liability has been fully and finally adjudicated — is not supported by the Appellate Division’s own characterization of the record.

The Specific Document Errors

Several specific factual errors in the motion papers warrant noting. They do not change the legal analysis, but they are relevant to the overall reliability of the submission and will register with Judge O’Hagan.

Date errors: The Nagel Certification states that “trial on the damages portion of B.B.’s case was finally scheduled to begin on Monday, June 14, 2026.” June 14, 2026 is a Sunday. The correct date is June 15, 2026 — the Monday confirmed by the Court’s own OSC (Docket No. 5, filed June 15, 2026). The motion’s Statement of Facts also refers to “Friday, June 12, 2016” — the year 2016 is a plain typographical error for 2026. (Nagel-mtd-analysis.md § 5, § 8, Misrepresentation 2.)

Age discrepancy: Nagel’s brief states B.B. was abused by “then fifty-two (52) year old Steven Bradley Mell.” The Appellate Division’s December 31, 2024 opinion describes Mell as “then fifty-one-year-old.” (Nagel-mtd-analysis.md § 8, Misrepresentation 5.) The discrepancy may reflect confusion between the beginning of Brad’s contact with B.B. (summer 2015) and the beginning of the sexual encounters (June 2017). This briefing does not use the word “grooming” as our characterization — see Section 2.B for counsel’s note on the client’s position. In any event, the characterization in Nagel’s brief conflicts with the Appellate Division’s own language.

These errors are minor in isolation. In combination with the § 1134 citation error (below) and the case number discrepancy, they paint a picture of a brief that was produced under time pressure without careful proofreading or verification of sources.

3.C: Nagel’s § 707(a) Argument — Analysis and Assessment

Nagel’s § 707(a) argument is the centerpiece of the motion and the one that raises the most genuine difficulty. Counsel should treat it seriously. It is not a frivolous argument. It fails, but it requires a complete and disciplined response.

The Standard Nagel Invokes

Nagel correctly states the Tamecki standard: “[G]ood faith requires at least a showing of honest intention.” In re Hunt, 521 B.R. at 485. He correctly invokes the burden-shifting framework: “Once a party calls into question a petitioner’s good faith, the burden shifts to the petitioner to prove his good faith.” In re Tamecki, 229 F.3d at 207. He correctly recites the Glunk five-factor test. (Nagel-mtd-analysis.md § 2.) None of this is wrong. The problem is how Nagel applies these standards to Brad’s facts — and what he omits.

The Murray Inversion — Nagel Cites an Adverse Case

Nagel cites In re Murray for the proposition that dismissal may result from “circumstances falling short of bad faith but nevertheless representing an inappropriate use of the Code.” (Nagel-mtd-analysis.md § 2, citing Murray, 543 B.R. at 490.) But Murray is an *involuntary* bankruptcy petition case. Wilk Auslander LLP, Murray’s former employer, filed an involuntary Chapter 7 petition against Murray after obtaining a judgment. The bad faith in Murray was the *creditor’s* bad faith in weaponizing the involuntary process as a “judgment enforcement device” in a two-party dispute. The Second Circuit affirmed dismissal because “bankruptcy is not a judgment enforcement device.” 900 F.3d 53 (2d Cir. 2018). (Part2-707a.md § B.4.)

This case does not support Nagel’s position. It is a bludgeon he has accidentally aimed at himself. If “bankruptcy is not a judgment enforcement device,” then § 707(a) is not a mechanism by which Nagel can undo Brad’s voluntary bankruptcy filing simply because he wants his damages trial without the constraints of the automatic stay and discharge. Nagel’s motion to dismiss is closer to the judgment-enforcement conduct Murray condemned than to anything on Brad’s side of this motion. Any experienced bankruptcy practitioner — and Judge O’Hagan is an experienced bankruptcy practitioner — will recognize this immediately. The opposition brief should open the § 707(a) argument by pointing this out.

The Pari Passu Problem — Nagel’s Most Dangerous Factual Argument

The most substantive argument in Nagel’s § 707(a) brief is the implicit “*pari passu* destruction” argument: Brad filed bankruptcy so that B.B. would have to compete with family members, business entities, and insiders who are also listed as creditors, thereby diluting her pro rata share of any distribution. Nagel phrases it this way: “Most of Mell’s creditors are family members or entities he controls (or controlled). B.B.’s case, in contrast, is about Mell’s sexual abuse of a minor. . . . Making B.B. compete with other creditors to see her judgment from the State Court Action satisfied will severely hamper her ability to collect from Mell.” (Nagel-mtd-analysis.md § 7.)

This argument has intuitive appeal. We need to address it directly, not sidestep it. The response has two parts. First, the argument inverts the bankruptcy process. The *pari passu* distribution rule — that unsecured creditors share equally in available assets — is not an injustice the bankruptcy court is asked to remedy. It is the fundamental design of the Code. Congress created the priority scheme in 11 U.S.C. § 507 specifically to determine who gets paid in what order. Domestic support obligations come first (§ 507(a)(1)); tax claims come eighth (§ 507(a)(8)); general unsecured creditors share the remainder. Nagel’s complaint that B.B. will have to compete with other creditors is a complaint against the Bankruptcy Code itself. Second, many of Brad’s listed creditors — the IRS (\$300,000), Kimberly Mell (\$200,000 DSO), and the New Jersey Division of Taxation (\$75,000) — hold claims that are senior to B.B.’s in priority and that are nondischargeable regardless of the outcome here. The Code’s priority scheme does not disfavor B.B. because of anything Brad did; it reflects Congress’s judgment about which obligations take precedence in an orderly distribution.

Nagel’s argument also relies on the premise that the listed creditors are entities Brad “controls” and are therefore somehow not legitimate. This is factually contested. Courtney Mell, Brad’s brother, holds a \$200,000 personal loan claim and is the sole source of Brad’s current income. Diana Mell holds a \$75,000 loan claim. These are real obligations to real people. Retired Judge Glenn Berman holds a \$60,000 claim through Greenbaum Rowe. These are not shams. And the KRM Trust and SBM Trust creditors are listed as contingent/unliquidated/disputed — which is the proper way to schedule them given the March 2026 settlement’s release language.

The § 523(a)(6) Procedural Error — Motion, Not Adversary Proceeding

Buried within Nagel’s § 707(a) argument is a procedural defect that the opposition should flag cleanly but without belaboring. Nagel seeks a declaration of nondischargeability under § 523(a)(6) by motion — as part of the package of relief in Doc. 8. Under Fed. R. Bankr. P. 7001(6), a determination of the dischargeability of a debt requires an adversary proceeding, not a motion filed in the main case. No adversary proceeding has been filed. The motion is procedurally defective as to the § 523(a)(6) relief. (Nagel-mtd-analysis.md, Counsel Note 6.) This point should be made but not treated as a dispositive win — Nagel could theoretically file an adversary complaint before the July 16 hearing, and the substantive analysis of the § 523(a)(6) claim must be addressed regardless.

The § 1134 Citation Error

Under the abstention argument (which we treat at 3.F below), Nagel twice cites “28 U.S.C. § 1134(c)(2)” and “28 U.S.C. § 1134(c)(1).” This statute does not exist. The correct citation is § 1334. (Part4-abstention.md, Threshold Alert.) We mention it in this section as well because citation errors

of this kind — to a nonexistent provision — are meaningful signals about the overall reliability of the legal research underlying the motion.

3.D: Nagel’s § 523(a)(6) Argument — Strengths and Weaknesses

Nagel’s § 523(a)(6) argument reads as follows in the brief: sexual abuse of a minor is “by definition” willful and malicious; the partial summary judgment establishes all elements of liability via collateral estoppel; therefore the entire debt is nondischargeable. This three-step argument has at least three independent fatal defects at the threshold before any court reaches the merits.

Defect One: Procedural — No Adversary Proceeding

As noted above, Fed. R. Bankr. P. 7001(6) requires an adversary proceeding for determinations of dischargeability under § 523(a)(6). Fed. R. Bankr. P. 4007 notes that the bankruptcy court has exclusive jurisdiction to determine dischargeability under § 523(a)(2), (4), and (6), and that adversary proceeding rules apply. Nagel has not filed an adversary complaint. He has sought § 523(a)(6) relief by motion in the main case. This is procedurally improper.

Note, however, that the deadline for filing a complaint objecting to discharge or seeking nondischargeability under § 523(a)(6) runs from 60 days after the first date set for the meeting of creditors under § 341. Counsel should track this deadline carefully and monitor whether Nagel files a proper adversary complaint before the deadline. If Nagel files an adversary complaint before July 16 (or between July 16 and the deadline), the procedural defect is cured and the merits become live. The deadline should be calculated and placed on the opposition team’s calendar immediately.

Defect Two: The Geiger Standard — “Self-Evident” Inference Is Foreclosed

The centerpiece of Nagel’s § 523(a)(6) argument is his extended quotation from *In re Fleetwood* (Bankr. D. Alaska 2013), which holds that willfulness and malice are “self-evident” in child sexual abuse cases. (Nagel-mtd-analysis.md § 3.) The quote asserts that “where the damages arise from sexual abuse, willfulness is apparent because the subjective motive to inflict harm ‘is self-evident, either because the tortfeasor knows his conduct is certain or almost certain to cause harm, or because he should know and therefore the intent is inferred as a matter of law.’ ” *Id.*

This argument is directly foreclosed by the Supreme Court in *Kawaauhau v. Geiger*, 523 U.S. 57, 61 (1998), which held that “the word ‘willful’ in (a)(6) modifies the word ‘injury,’ indicating that nondischargeability takes a deliberate or intentional injury, not merely a deliberate or intentional act that leads to injury.” The Court specifically rejected inference from the nature of the act: “Had Congress meant to exempt debts resulting from unintentionally inflicted injuries, it might have

described instead ‘willful acts that cause injury.’ ” 523 U.S. at 63. The “self-evident” approach Fleetwood endorses is an objective inference test — inferring intent to injure from the nature of the act. Geiger expressly rejected that approach. (Part3-523a6.md § A.1.)

Additionally, Fleetwood is a Bankr. D. Alaska opinion — not Third Circuit, not Supreme Court. It is not binding in this Court. The Third Circuit’s own § 523(a)(6) standard, articulated in *In re Conte*, 33 F.3d 303, 305, 308 (3d Cir. 1994) — as reconciled with Geiger — requires that the debtor either purposefully inflicted the injury or acted with subjective knowledge that injury was substantially certain to result. The “substantially certain” prong is subjective under Geiger: what did this debtor actually know, not what a reasonable person would have known. (Part3-523a6.md § A.2.)

Nagel also cites *Berlingeri* (Bankr. D.N.J. 2000) and characterizes it as holding that claims based on intentional acts done to cause injury are nondischargeable. (Nagel-mtd-analysis.md § 3.) *Berlingeri* is a D.N.J. bankruptcy court opinion — persuasive but not binding — and the relevant passage is about “intentional acts done to cause injury,” which is the standard that Geiger itself adopted. The question is not whether the standard exists but whether it is satisfied. Based on available research, *Berlingeri*’s § 523(a)(6) finding appears to rest on a consent judgment stipulation in that case that conceded willfulness — not on inference from the nature of the conduct. If that is correct, *Berlingeri* is distinguishable: there is no consent judgment here, and the discovery sanction that constitutes the “liability” determination made no mental state finding. (Part3-523a6.md § B.3; CASES-OBTAINED.md, *Berlingeri* analysis.) Counsel must obtain the full text of *Berlingeri* before filing the opposition.

Defect Three: The “Actually Litigated” Requirement for Collateral Estoppel

Even if the § 523(a)(6) subjective intent standard could theoretically be satisfied on the underlying facts, Nagel cannot establish it through collateral estoppel from the March 2021 partial summary judgment. The Third Circuit requires that for collateral estoppel to operate in a § 523(a)(6) proceeding, the specific § 523(a)(6) mental state elements — willful intent to cause the specific injury and malice — must have been “actually litigated and determined” in the prior proceeding. *In re Docteroff*, 133 F.3d 210, 214-15 (3d Cir. 1997); *In re Wilson*, 116 F.3d 87, 90-92 (3d Cir. 1997).

The March 2021 partial summary judgment was not a merits determination. The Appellate Division described it as “interlocutory and not a final judgment” and noted uncertainty about whether Mell even responded to the summary judgment motion. (Part3-523a6.md § E.2.) N.J. Court Rule 4:23-5(a)(2) — the sanction rule under which the PSJ may have been entered — provides that pleadings are struck and a default judgment entered as a discovery sanction upon proof of non-compliance.

It involves no evidentiary hearing, no testimony, and no findings of fact on any element of any claim. No judge ever made a finding that Brad acted willfully or maliciously within the meaning of § 523(a)(6). A discovery sanction that deems well-pleaded allegations admitted for civil liability purposes does not satisfy the “actually litigated” requirement for any specific element.

Nagel will cite Docteroff for the “deliberately prevents resolution” exception — the rule that a party who bad-faith obstructs a proceeding will be deemed to have actually litigated the issues. The response: Brad invoked his Fifth Amendment right against self-incrimination during civil discovery while parallel federal criminal proceedings were pending against him. The Fifth Amendment is a constitutionally protected right. Exercising a constitutional right is not “deliberate prevention of resolution” in the Docteroff sense. Docteroff’s exception requires conduct that is sanctionable because it is unjustified — bad-faith obstruction with no legal basis. Brad’s invocation of the Fifth had the strongest possible legal basis: the United States Constitution. Moreover, even under Docteroff’s exception, collateral estoppel can only preclude relitigation of issues that were actually established in the prior proceeding. The R. 4:23-5(a)(2) sanction established procedural default, not the specific § 523(a)(6) mental state elements. (Part3-523a6.md § E.5.)

Counsel’s Honest Assessment of the § 523(a)(6) Merits

We owe you a candid view of the § 523(a)(6) merits independent of the procedural defects. The merits present a genuine challenge that the opposition cannot gloss over. The underlying conduct here is not like the malpractice case in Geiger, where the doctor prescribed the wrong medication negligently. Brad’s conduct was intentional — the criminal conviction establishes that he intentionally traveled for illicit sexual conduct and intentionally received child pornography. The question under Geiger is whether he subjectively intended to cause the specific injuries alleged in each civil count, not merely whether he intended to perform the acts.

There is space between the criminal conviction’s intent elements (intent to travel, intent to receive) and § 523(a)(6)’s required intent (intent to cause the specific injury to the specific plaintiff). That space — and Lilly Cannon’s own deposition testimony describing a “non-forced relationship” — is the factual terrain in which the § 523(a)(6) contest will be fought if Nagel properly initiates an adversary proceeding. The honest answer is that this is a hard merits issue where the law is genuinely contested and where the outcome in a full adversary proceeding is not certain. Our procedural and collateral estoppel defenses are strong. The merits of the underlying § 523(a)(6) claim — if properly pleaded and tried — are genuinely contested. Counsel should not represent to the client or to this Court that the debt will be discharged; that determination requires a full adversary proceeding with fact-finding on intent.

3.E: Nagel’s Stay Relief Argument — Assessment

Nagel’s § 362(d)(1) stay relief argument is the briefest section of the motion (approximately two pages) and is almost entirely derivative of the § 707(a) bad faith argument. Nagel’s theory is simple: “As set forth above, Mell has sought bankruptcy in bad faith. See, *supra*, § I. Accordingly, this case should be stayed for the same reasons which support dismissal of this case.” (Nagel-mtd-analysis.md § 7.) He then quotes the mid-Atlantic Handling seven-factor test and asserts, in one conclusory paragraph, that the equities support lifting the stay because B.B. has litigated for seven years and the trial is prepared.

The structural problem with this approach: Nagel’s entire “cause” for stay relief under § 362(d)(1) rests on the same bad faith theory as his § 707(a) dismissal motion. If the Court denies the § 707(a) motion — as it should — the only “cause” argument for stay relief collapses simultaneously. There is no independent § 362(d)(1) argument in the motion beyond the bad faith claim. Nagel has not invoked § 362(d)(2) (lack of adequate protection), § 362(d)(3) (single asset real estate), or any other statutory ground for relief. The motion lives or dies with the § 707(a) argument.

There is also a threshold factual problem with stay relief that Nagel’s motion completely fails to address: the Zunic order. The state court action was dismissed without prejudice on June 12, 2026 — the same day Brad filed the petition, before Nagel even filed this motion. The Curtis/Sonnax twelve-factor test for stay relief under § 362(d)(1) — which Nagel invokes through Mid-Atlantic Handling — requires courts to consider, among other things: Factor 1 (whether stay lift results in partial or complete resolution), Factor 11 (whether parties are ready for trial in the other proceeding), and Factor 12 (balance of harms). Factors 1, 11, and 12 are all potentially dispositive — and all favor maintaining the stay — because there is no pending state court proceeding into which any “relief” could land. Lifting the stay cannot result in a resolution of a dismissed action. The parties are not ready for trial in a proceeding that no longer exists. (Part5-stay.md § A-2.)

The Prejudgment Attachment Claim

Nagel’s stay relief section asserts that “there is a judgment of liability against Mell and an attachment of approximately \$1 million of his monies held in escrow for a judgment in favor of B.B.” (Nagel-mtd-analysis.md § 7.) The “\$1 million” figure overstates the attachment; Brad’s own schedules disclose \$750,000 in the Nagel Rice trust account, \$75,000 with the Greifinger firm, and \$150,000 with McElroy Deutsch as attorneys for Gulfstream — different amounts and different custodians. (BRIEFING-SECTIONS-1-2.md § E.) More importantly, the prejudgment attachment from the dismissed state court action may itself be legally extinct following the Zunic dismissal order. A

prejudgment attachment derives its vitality from the pending action. When the Zunic order dismissed the case, the foundation for the attachment was eliminated. (Part5-stay.md § C-3.)

And there is the Paragano email. On June 18, 2026 — three days after Nagel had acknowledged the bankruptcy filing to this Court — Nagel’s law partner Michael Paragano emailed Brad directly, asserting the prejudgment attachment. This email is a potential willful stay violation under 11 U.S.C. § 362(k)(1) and *In re Lansaw*, 853 F.3d 657 (3d Cir. 2017). We address this comprehensively in Section 4.F below.

3.F: Nagel’s Abstention Argument — Assessment

The abstention section is the most legally defective portion of the motion, and it is defective in multiple independent ways, beginning with the threshold citation error.

The § 1134 Error

Nagel cites “28 U.S.C. § 1134(c)(2)” and “28 U.S.C. § 1134(c)(1)” as the statutory bases for mandatory and permissive abstention respectively. Section 1134 of Title 28 does not exist. Chapter 85 of Part IV of Title 28 (District Courts; Jurisdiction) contains sections numbered 1330 through 1369. There is no § 1134. The abstention provisions governing bankruptcy are at 28 U.S.C. § 1334(c)(1) (permissive) and § 1334(c)(2) (mandatory). (Part4-abstention.md, Threshold Alert; nagel-mtd-analysis.md §§ 6, 8, Misrepresentation 1.) A motion premised on a statute that does not exist is deficient on its face.

Mandatory Abstention Is Legally Impossible Here

Setting aside the citation error, the substantive mandatory abstention argument fails on the face of the statute. Section 1334(c)(2) — the actual statute — applies only to a proceeding “based upon a State law claim or State law cause of action, related to a case under title 11 but not arising under title 11 or arising in a case under title 11.” A § 523(a)(6) nondischargeability action arises directly under 11 U.S.C. § 523 — a provision of the Bankruptcy Code. It arises under title 11, not merely “relates to” a case under title 11. Therefore the mandatory abstention statute by its express text does not apply. (Part4-abstention.md § A.4.)

This is confirmed by 28 U.S.C. § 157(b)(2)(I), which expressly enumerates “determinations as to the dischargeability of particular debts” as core proceedings. Core proceedings “arise under” or “arise in” title 11 — by definition. Mandatory abstention under § 1334(c)(2) is categorically unavailable for core proceedings. Fed. R. Bankr. P. 4007’s advisory committee note further confirms exclusive bankruptcy court jurisdiction over § 523(a)(2), (4), and (6). Exclusive jurisdiction cannot

be divested by an abstention motion.

Stoe v. Flaherty — Nagel’s Own Case Defeats Him

Nagel cites *Stoe v. Flaherty*, 436 F.3d 209, 213 (3d Cir. 2006), as support for the mandatory abstention test. *Stoe* is the controlling Third Circuit authority on mandatory abstention. Nagel has misread it. *Stoe*’s second element requires that the claim “does not ‘arise under’ title 11 and does not ‘arise in’ a case under title 11.” A § 523(a)(6) dischargeability determination arises directly under title 11. Nagel cannot satisfy element (2) of the case he cites. *Stoe* defeats him, not supports him. (Part4-abstention.md § B.1.)

The Zunic Order Independently Kills Element Four

Stoe’s fourth element requires that “an action ‘is commenced’ in a state forum of appropriate jurisdiction.” Courts require a currently pending, not merely refiled, state court action. The Zunic order dismissed *B.B. v. Mell* without prejudice on June 12, 2026 — the same day Brad filed the petition. The state court action was not pending when Nagel filed the abstention motion on June 23. It is not pending for the July 16 hearing. Three of *Stoe*’s five elements fail independently: element (2) (arises under title 11), element (3) (bankruptcy court has exclusive § 523 jurisdiction independent of § 1334), and element (4) (no pending state court action). All five elements must be satisfied. (Part4-abstention.md §§ A.5, A.6, C.1.)

The Internal Incoherence

Perhaps the most revealing flaw in the abstention argument is its internal contradiction. Nagel simultaneously asks this Court to: (a) abstain from hearing the case and send it back to state court for a damages trial; and (b) declare the debt nondischargeable under § 523(a)(6). These positions are irreconcilable. A § 523(a)(6) determination requires this Court to find “willful and malicious injury” — which requires adjudicating the factual circumstances that Nagel claims should be decided in state court. A court cannot abstain from the predicate (the factual circumstances of the underlying injury) while retaining the conclusion (the nondischargeability declaration). Nagel’s argument literally requires this Court to make findings it just sent to state court. (Part4-abstention.md § C.4.)

SECTION 4: SUMMARY OF RESPONSIVE ARGUMENTS — A COUNSEL ROAD MAP

4.A: § 707(a) Response — Defeating Bad Faith Dismissal

The Threshold Positioning

Before addressing any specific factor, the opposition must establish the proper standard and then never leave it. Tamecki’s “egregious cases” language is not decorative — it is a genuine gate-keeping standard that limits bad faith dismissal to cases involving “concealed or misrepresented assets and/or sources of income, lavish lifestyles and intention to avoid a large single debt based upon conduct akin to fraud, misconduct or gross negligence.” In re Tamecki, 229 F.3d 205, 207 (3d Cir. 2000). And Perlin adds the critical additional limitation: “A debtor’s ability to repay is not in and of itself sufficient proof of bad faith.” In re Perlin, 497 F.3d 364, 369 (3d Cir. 2007). These two sentences, from two binding Third Circuit opinions, are the walls within which this entire argument must be contained. Every argument Nagel makes must be pressed against those walls until he either shows it fits inside the Tamecki-Perlin space (extremely rare) or demonstrates it falls outside (overwhelmingly the case here).

Opening Move: Invert Murray

The opposition should open the § 707(a) argument by noting Nagel’s misuse of Murray. The opposition should say something like: “Nagel’s lead case — In re Murray, 900 F.3d 53 (2d Cir. 2018) — actually defeats his position. Murray held that ‘bankruptcy is not a judgment enforcement device.’ The bad faith in Murray was the creditor’s bad faith in filing an involuntary petition solely to enforce a two-party judgment. Nothing in Murray supports the proposition that a debtor who files a voluntary Chapter 7 petition with multiple creditors and comprehensive schedule filings acts in bad faith.”

This works because Judge O’Hagan will know Murray. He has spent eleven years as USAO Senior Bankruptcy Counsel. When he reads Nagel’s brief and sees Murray cited for a debtor-bad-faith proposition, his first reaction will be “that’s an involuntary case.” Confirming that reaction in the first paragraph of the § 707(a) argument signals to the Court that the opposition is prepared and accurate. It also subtly frames the rest of the argument: if Nagel’s lead case supports Brad, what does that tell us about the strength of the motion overall?

The Affirmative Good Faith Showing

Under Tamecki’s burden framework, once a movant calls good faith into question, the burden shifts to the debtor to produce evidence of honest intention. Once the debtor produces that evidence, the

burden shifts back to the movant to prove actual bad faith by the egregious standard. Brad's three binders of financial disclosure — filed within the OSC timeframe, comprehensive, signed under penalty of perjury, disclosing every asset including the \$750,000 in Nagel's own trust account — are affirmative good faith evidence that satisfies the debtor's initial burden. In re Perlin, 497 F.3d at 367-68 (dismissal denied because "the Perlins had been truthful with the court and their creditors").

The specific affirmative evidence of good faith that should be highlighted:

— *Comprehensive Schedule Disclosure*. Three binders, thirteen official forms, forty-one pages, disclosing retirement accounts, vehicles, the Ferrari, the \$750,000 in the Nagel Rice trust account (identified by custodian name), prior addresses including FCI Fort Dix and Kintock Newark, SOFA entries showing no transfers within two years, no closed accounts within one year, no safe deposit boxes, no offshore accounts. Eubanks was dismissed because the debtor had six undisclosed business entities and three undisclosed properties. Brad is the photographic negative of that debtor.

— *Multiple Creditors*. Twelve creditors appear on the schedules. The IRS (\$300,000), Kimberly Mell (\$200,000 DSO), and the New Jersey Division of Taxation (\$75,000) account for \$575,000 in priority claims with nothing to do with B.B. This is not a single-creditor case manufactured to abuse the bankruptcy system. Compare Zick (Sixth Circuit case Nagel cites, where the court found debtor "manipulated" creditors "to one"). That manipulation does not exist here.

— *Legitimate Fresh Start Purpose*. Brad has a \$300,000 IRS debt, a \$200,000 domestic support obligation that is nondischargeable regardless of outcome, state tax obligations, and a contingent tort claim of unknown magnitude. He has a monthly deficit of \$1,052. He has no income source other than his brother's discretionary support. Chapter 7's fresh start purpose is precisely designed for this situation.

— *No Eve Created by Debtor*. The damages trial was scheduled for June 15, 2026 — eighteen months after the December 31, 2024 Appellate Division decision that finally allowed the case to proceed after Nagel's 3+ year interlocutory appeal. Under the totality-of-circumstances standard, which encompasses all relevant circumstances, Nagel created the eve. Brad responded to it.

Distinguishing Myers — The Most Important Analytical Task

In re Myers, 491 F.3d 120 (3d Cir. 2007), is Nagel's best case and must be distinguished on the facts, not dismissed as non-applicable. Myers is binding Third Circuit authority. It must be engaged directly. The distinction has six independent grounds:

- (1) *Chapter*. Myers was Chapter 13. Brad filed Chapter 7. The Chapter 7 fresh start purpose —

available to individuals who meet the § 109(b) requirements — is not available for entities and was not the posture in Myers.

- (2) *Statutory Eligibility*. Myers did not meet the § 109 eligibility requirements for Chapter 13 at the time of filing. Brad meets all § 109(b) requirements for Chapter 7.
- (3) *Court Order Violation*. Myers's husband withdrew \$6,000 in violation of a Pennsylvania court order and used it to pay bankruptcy counsel. No such conduct is alleged here.
- (4) *Announced Ruling*. The Myers state court had already “announced it intended to rule” before the bankruptcy filing. Here, trial had not commenced. The distinction matters: filing the night before an announced adverse ruling is qualitatively different from filing before a trial has even begun.
- (5) *Nature of Liability*. The debt in Myers arose from a fraudulent conveyance claim — debtor's own affirmative misconduct involving fraud. The “liability” here was set by a R. 4:23-5(a)(2) discovery sanction — a procedural consequence of Fifth Amendment invocation, not a merits adjudication of fraud-adjacent conduct.
- (6) *Who Created the Delay*. In Myers, the debtor created the procedural posture. Here, Nagel's three-year interlocutory appeal created the trial date that Brad responded to.

Any one of these distinctions might not be sufficient alone. Together they distinguish Myers from Mell on every material fact.

The Glunk Factor-by-Factor Rebuttal

Nagel invokes the Glunk five-factor test. Address each factor directly:

Factor 1 (Lavish Lifestyle/Ability to Pay): No evidence of lavish lifestyle has been presented. Brad lives at his brother's address on \$3,500 per month in family support, with a \$1,052 monthly deficit. Perlin forecloses ability-to-pay as the primary basis for dismissal.

Factor 2 (Disproportionate Impact on One Creditor): This cuts both ways. It is true that B.B. is the most visible creditor. But disproportionate impact as a bad faith indicator concerns cases where the filing is structured to prejudice a specific creditor through the bankruptcy mechanics. Here, the priority scheme that applies is the Code's own scheme, not anything Brad engineered. The IRS and DSO creditors are ahead of B.B. by statute, not by Brad's design.

Factor 3 (Forum Shopping/Thwarting State Court): The “forum shopping” factor concerns deliberate manipulation of the judicial process to thwart orderly determination of a pending claim. But the federal bankruptcy court is not a “manipulated” forum — it is the statutory forum for discharge and dischargeability determination under the United States Code. Filing in the appropriate statutory forum is not forum shopping. Moreover, the interlocutory appeal that delayed the trial to its “eve” timing was Nagel’s own act of thwarting orderly determination, not Brad’s.

Factor 4 (Prepetition Fraudulent Conduct): The trust formation in December 2012 predates any cognizable debt to B.B. by more than four years. Under 11 U.S.C. § 548’s two-year lookback, those trust formations are fourteen years outside the reach of federal fraudulent transfer law. Under the NJUFTA, constructive fraud requires the claimant to be a “present creditor” at the time of transfer — Lilly Cannon was not. The actual fraud prong theoretically reaches future creditors but requires proof that Brad formed the trusts in 2012 with the actual intent to defraud someone he had not yet met and to whom no debt existed. That logical impossibility is the airtight trust timing defense.

Factor 5 (Fundamentally Unfair Result): The “fundamentally unfair” factor focuses on whether the bankruptcy result would be an outrage to honest creditors. Nagel has collected \$300,000 from the trust settlement. He has a pending § 523(a)(6) argument that, if properly pursued in an adversary proceeding, could result in the debt being excepted from discharge. The orderly distribution scheme of Chapter 7 — which has already begun operating in Brad’s favor with the priority of the IRS and DSO claims — is not fundamentally unfair. It is the law.

The Settlement Disclosure — The Nuclear Option

Counsel must decide, before filing the opposition, whether and how to deploy the March 2026 Trust Settlement in the § 707(a) argument. The settlement destroys Nagel’s trust-fraud narrative at its foundation: if the trusts are fraudulent conveyance vehicles, why did Nagel settle with them for \$300,000 and release “any current or future claims” against trust assets? The answer is that the trusts are legitimate estate planning vehicles, as their own successful summary judgment motions demonstrated — and the settlement confirmed, without admission of liability.

Our recommendation: the release’s operative language (paragraph 3 of the settlement, which bars future collection efforts against trust assets) should be disclosed in the opposition brief in the manner described in the Counsel Note in Part 1. The specific dollar amount should be protected through a sealed filing under paragraph 10 of the settlement agreement’s own terms. The RPC 3.3 argument — that Nagel’s failure to disclose the settlement to this Court while asserting trust fraud is a material omission to the tribunal — should be raised in a separate motion filed either simultaneously or

shortly after the opposition, after calculating whether the 21-day Rule 9011 safe-harbor period permits it in the available timeline. Given that Nagel filed the MTD on June 23 and the hearing is July 16, the 21-day window closes July 14 — two days before the hearing. The Rule 9011 safe-harbor notice should be served immediately if that route is chosen.

Nagel's Dual Creditor Status

Worth noting in the opposition, though not to be overplayed: Nagel Rice LLP appears on Brad's Schedule E/F as a listed creditor with a \$10,000 sanctions claim. Nagel is thus simultaneously counsel for the largest potential creditor and a creditor in his own right. This dual status is disclosed and does not necessarily create a conflict that bars the motion, but it is relevant to the Court's assessment of the equities underlying the motion. A creditor-attorney with a stake in the outcome is not a neutral champion of the bankruptcy process.

4.B: § 523(a)(6) Response — Nondischargeability

Lead with the Procedural Defect

Open the § 523(a)(6) response with the adversary proceeding requirement under Fed. R. Bankr. P. 7001(6). The Court should not reach the merits of the § 523(a)(6) argument on this motion because the motion is the wrong procedural vehicle. The procedural argument also allows the opposition to set up the monitoring task — counsel should be tracking the adversary complaint deadline and preparing for an adversary proceeding if and when Nagel files one properly.

The Geiger/Conte Framework — Our Law Controls

The legal framework is clear: Geiger (Supreme Court, binding) requires subjective intent to cause the specific injury; Conte (Third Circuit, binding) requires either purposeful infliction or subjective knowledge that injury was substantially certain. These two cases are our foundation. Everything else follows from them.

Against those binding authorities, Nagel's Fleetwood argument — “self-evident” willfulness as a matter of law — is foreclosed. The opposition should quote Geiger's exact language on this point: the statute says “willful and malicious injury,” not “willful acts that cause injury.” 523 U.S. at 63. Congress's word choice was deliberate.

The Collateral Estoppel Argument — The Core Defense

The collateral estoppel defense to the § 523(a)(6) claim is strong and should be developed thoroughly. The argument runs:

Step 1: Identify what must be “actually litigated” — the specific mental state elements of § 523(a)(6) (subjective intent to cause the specific injury; malice without just cause or excuse).

Step 2: Show that R. 4:23-5(a)(2) establishes none of those elements. A discovery sanction is a procedural consequence. No judge made any finding on intent, malice, or purpose. The elements were never presented to any factfinder.

Step 3: Preempt the Docteroff argument. Docteroff’s “deliberately prevents resolution” exception requires conduct that is sanctionable because it is unjustified — bad-faith obstruction without legal basis. Brad’s Fifth Amendment invocation had constitutional justification. The distinction between constitutionally protected silence and bad-faith obstruction is fundamental.

Step 4: Even if Docteroff applied, what would have been “deemed litigated”? Civil liability on each count — not § 523(a)(6) mental state elements. The state court did not adjudicate willfulness and malice under federal bankruptcy standards. Those elements were never before any New Jersey court.

Berlingeri — Handle With Care

Berlingeri (246 B.R. 196 (Bankr. D.N.J. 2000)) is a Nagel-cited case that needs Westlaw verification before the opposition is filed. If *Berlingeri* held that intent to cause injury was established by a consent judgment in which the debtor stipulated to the facts constituting willful and malicious injury, then *Berlingeri* is distinguishable — there is no consent judgment here, and the partial summary judgment is an interlocutory discovery sanction. If *Berlingeri* adopted a post-Geiger subjective intent standard and applied it to a child sexual abuse context, the question is how the court got from the facts to the conclusion. If it used the “self-evident” inference approach, it is inconsistent with *Geiger*. Do not cite or dismiss *Berlingeri* in the brief without reading the full opinion first.

The Count-by-Count Element Problem

Nagel’s § 523(a)(6) argument treats the entire civil action as a monolith — all counts are “sexual abuse of a minor,” and therefore all are willful and malicious as a matter of law. This approach is analytically deficient. Even if some counts could satisfy *Geiger*, Nagel must establish willfulness and malice count-by-count, and the elements of each New Jersey civil statute must be compared to § 523(a)(6)’s requirements individually. N.J.S.A. 2A:61B-1 (Child Sexual Abuse Act) requires “intentional touching for the purpose of sexually arousing or sexually gratifying the actor” — intent to gratify, not intent to injure. The gap between those two formulations is exactly what *Geiger* requires be filled with proof. Nagel has not attempted to do that analysis. In an adversary proceeding, he will have to.

Honest Assessment

Counsel should be prepared to acknowledge privately that the § 523(a)(6) merits present a genuine challenge in an adversary proceeding context. The criminal conviction establishes intentional conduct. The statutory intent elements of the New Jersey civil claims are not pure strict liability — they require intentional acts. The step from “intentional act” to “intent to injure the specific plaintiff in the specific manner” is real but not always enormous when the “act” is sexual conduct with a minor who cannot legally consent. We have strong procedural defenses. The collateral estoppel defense is our best argument. The merits of the underlying Geiger question — if and when they are finally tried — are genuinely contested. Prepare for that fight.

4.C: Stay Relief Response

The Structural Argument — Bad Faith Denial Forecloses § 362(d)(1)

The cleanest path to defeating the stay relief motion is the same clean path that defeats the § 707(a) motion: demonstrate that Brad did not file in bad faith. If the Court accepts our § 707(a) analysis and finds no bad faith, Nagel’s sole stated “cause” for stay relief disappears without any separate analysis needed. Structure the opposition brief so that the § 707(a) argument comes first, and then state explicitly: “For the same reasons that Nagel’s bad faith argument fails under § 707(a), it fails as ‘cause’ under § 362(d)(1).”

The Curtis/Sonnax Twelve-Factor Analysis

Address the twelve factors in the order in which the most favorable ones appear, not the order in which they are typically listed:

Factor 11 (Parties Ready for Trial) — Potentially Dispositive. The state court action was dismissed by the Zunic order on June 12, 2026. The parties are not ready for trial in a dismissed action. This factor assumes a pending proceeding that could advance; here, there is none. This factor alone, applied honestly, may be dispositive — there is no proceeding to resume even if the Court were inclined to lift the stay.

Factor 1 (Partial or Complete Resolution). Stay relief cannot result in resolution of a dismissed action. Resolution would require this Court’s permission to restore the case, followed by pre-trial proceedings in state court, followed by a trial. This is not resolution; it is resumption of a dismissed case with new litigation costs.

Factor 10 (Judicial Economy). Even if the stay were lifted and the damages trial proceeded to

judgment, this Court would still need to adjudicate the § 523(a)(6) dischargeability question as a core proceeding under 28 U.S.C. § 157(b)(2)(I). Two courts would adjudicate the same underlying facts, producing potential preclusion problems and duplicated effort. No efficiency is gained.

Factor 7 (Prejudice to Other Creditors). Allowing Nagel to jump ahead of the IRS, the DSO creditor, the New Jersey Division of Taxation, and the other unsecured creditors through a state court judgment while the automatic stay is lifted prejudices those creditors by disrupting the orderly distribution scheme Congress established.

Factor 12 (Balance of Harms). Brad faces the harm of multi-forum litigation at a time when his sole income is \$3,500 per month from his brother's discretionary support. Nagel's only cognizable harm is the delay of a damages proceeding that, even if concluded, would then need to be adjudicated for dischargeability in this Court before any collection could occur. The imbalance favors Brad.

The Double Invalidity Argument

Nail down the prejudgment attachment argument early in the stay relief section. Nagel's primary stated reason for needing stay relief is the pending damages trial and the attachment. But the attachment is doubly invalid: (1) the underlying action was dismissed on June 12 by the Zunic order, eliminating the foundation for the attachment; and (2) even a valid prejudgment attachment cannot be asserted post-petition without relief from the automatic stay under § 362(a)(4). The relief Nagel seeks (to enforce the attachment) is itself the conduct the stay prohibits. He is asking this Court's permission to do the thing he has already done without permission — which leads directly to the § 362(k) cross-motion below.

4.D: Abstention Response

Open With the Citation Error — Precisely and Without Overplaying It

State the error once, cleanly: "Nagel's abstention arguments are predicated on '28 U.S.C. § 1134(c)(2)' and '28 U.S.C. § 1134(c)(1)'. Those statutes do not exist. The provision governing bankruptcy abstention is 28 U.S.C. § 1334(c)(2) and § 1334(c)(1). This Court will treat Nagel's motion as invoking the correct statute." Then move immediately to the merits. The citation error signals to Judge O'Hagan that the brief was carelessly researched; one sentence is sufficient to make that point. Do not repeat it.

The Statutory Text Closes the Door

Section 1334(c)(2), the mandatory abstention statute, applies only to proceedings that are "related

to” a case under title 11 “but not arising under title 11 or arising in a case under title 11.” A § 523(a)(6) nondischargeability action arises directly under 11 U.S.C. § 523. It arises under title 11. The statutory text itself forecloses mandatory abstention. No case-by-case analysis is needed on this point — the plain text resolves it.

Support with 28 U.S.C. § 157(b)(2)(I): “Core proceedings include but are not limited to the following: . . . (I) determinations as to the dischargeability of particular debts.” Quote the full verbatim text. This is not an ambiguous enumeration — it is an express statutory statement that dischargeability is a core proceeding, and core proceedings arise under or arise in title 11, not merely relate to it.

Stoe Element-by-Element Defeat

After the statutory text argument, walk through each element of the Stoe five-factor test and show which elements fail. At minimum, elements (2), (3), and (4) all fail independently:

Element (2): The § 523(a)(6) claim does not merely “relate to” the bankruptcy case — it arises under title 11. This element’s failure is dispositive.

Element (3): Federal courts would have jurisdiction absent § 1334 because the bankruptcy court has exclusive jurisdiction over § 523(a)(6) dischargeability under its inherent bankruptcy authority and Fed. R. Bankr. P. 4007. This element fails.

Element (4): No action “is commenced” in state court. The Zunic order dismissed *B.B. v. Mell* on June 12, 2026. Any resumption requires this Court’s permission. A dismissed action is not a “commenced” action for mandatory abstention purposes. This element fails.

All five must be satisfied. Three fail independently. Mandatory abstention is unavailable.

The Logical Incoherence Point

Close the abstention section with the logical incoherence argument. If Nagel wants this Court to: (a) abstain from adjudicating the case and send it to state court; while simultaneously asking this Court to: (b) determine that the debt is nondischargeable under § 523(a)(6) — he is asking for two irreconcilable things. The § 523(a)(6) determination requires this Court to make factual findings about the nature and circumstances of the underlying injury. Those are precisely the findings he claims should go to state court. The contradiction, identified cleanly in the brief, demonstrates that Nagel has not thought through what he actually wants from this Court.

4.E: The Pari Passu Structural Argument — Weaving It Through

The “pari passu destruction” narrative is Nagel’s most emotionally compelling argument, and it runs through every section of his brief without ever being labeled as such. The argument is: Brad filed bankruptcy to dilute B.B.’s recovery by forcing her to share the available assets with family members and insiders who are themselves listed creditors. The subtext is: this is unfair, and the Court should not permit it.

This argument must be addressed head-on across all four response sections, not deflected or ignored. The counter-argument has three components:

First, pari passu distribution is not a trick Brad deployed — it is the design of the United States Bankruptcy Code. Congress in 11 U.S.C. § 726 established the order of distribution in Chapter 7 cases. Congress in § 507 established the priority scheme. Congress in § 523 established which debts are excepted from discharge. The “harm” of pro rata distribution is what Congress intended. It is the entire point of bankruptcy. A creditor’s complaint that she must share assets with other creditors is a complaint against the Code, not against the debtor.

Second, the priority structure actually works against the pari passu argument in this case. The highest-priority creditors — Kimberly Mell’s \$200,000 DSO (first priority under § 507(a)(1)) and the IRS’s \$300,000 claim (eighth priority under § 507(a)(8)) — are nondischargeable obligations that Brad cannot extinguish through Chapter 7 regardless of outcome. The “dilution” Nagel fears from these creditors is built into the Code’s nondischargeability provisions. B.B.’s claim — if established and if not dischargeable — will be determined against the same asset pool as any other unsecured creditor. That is not an injustice engineered by Brad. It is the statutory distribution scheme.

Third, Brad’s retirement accounts — \$1,090,000 in total — are fully exempt under 11 U.S.C. § 522(d)(12) regardless of whether this case is dismissed or proceeds. Those accounts are legally unavailable to B.B. whether she is in the bankruptcy or not. The \$750,000 in the Nagel Rice trust account is the primary asset potentially available to creditors, and that fund is already held by Nagel’s own firm. The pari passu argument’s implicit premise — that B.B. would be better off in state court collecting from a fund held by Nagel’s own firm — ignores that every other creditor would be pursuing that fund simultaneously once discharge is denied.

4.F: The § 362(k) Cross-Motion Recommendation

What the Evidence Shows

The Paragano email of June 18, 2026 presents a textbook willful stay violation. The facts are:

- Brad filed his Chapter 7 petition on June 12, 2026.
- Brad’s bankruptcy counsel filed notice of the automatic stay in the state court proceeding the same afternoon (Bankruptcy filing.pdf, filed ESX-L-007200-19 at 3:28 PM on June 12, 2026).
- Judge Zunic dismissed the state court action on June 12, 2026.
- Nagel appeared before this Court and acknowledged the bankruptcy filing on or before June 15, 2026 — the date the Court entered the OSC.
- On June 18, 2026 — three days after Nagel’s acknowledged knowledge of the bankruptcy — Michael Paragano, Nagel’s law partner, emailed Brad directly asserting a prejudgment attachment from the dismissed state court action.

The Legal Framework

The Third Circuit’s § 362(k)(1) standard, established in *In re Lansaw*, 853 F.3d 657, 669 (3d Cir. 2017), requires three elements: (1) a violation of the automatic stay occurred; (2) the violation was willfully committed; and (3) the debtor suffered damages as a result. (Part5-stay.md § C-1.)

Willfulness under the Third Circuit standard requires only knowledge of the bankruptcy filing plus an intentional act. *In re Lansaw*, 853 F.3d at 669. Knowledge of the specific stay provisions is not required — only knowledge of the bankruptcy itself. *In re University Medical Center*, 973 F.2d 1065, 1068 (3d Cir. 1992). Good faith is not a defense. *Cal. Coast Univ. v. Aleckna* (*In re Aleckna*), No. 20-1309, 2021 WL 4097155, at *4 (3d Cir. Sept. 9, 2021).

Applied here: Nagel had actual knowledge. Paragano is Nagel’s law partner — agency imputation principles under the Restatement (Third) of Agency § 5.03 impute Nagel’s knowledge to Paragano. The June 18 email was an intentional act with imputed knowledge of the bankruptcy. That is sufficient for willfulness under *Lansaw*.

The violations the Paragano email triggered: § 362(a)(1) (continuation of a judicial proceeding against the debtor); § 362(a)(4) (act to enforce a lien against property of the estate — the prejudgment attachment); § 362(a)(5) (act to enforce against estate property a lien securing a pre-petition claim); and § 362(a)(6) (act to collect a pre-petition claim). Each provision is independently violated.

The Double Invalidity

The Paragano email asserted a prejudgment attachment that was doubly invalid: (1) the underlying state court action had been dismissed by the Zunic order on June 12, eliminating the foundation for

the attachment under New Jersey law; and (2) the Paragano email appears to assert an attachment interest that was separately released in December 2023 — over two years before the bankruptcy filing. Asserting a legally nonexistent right post-petition violates the stay regardless of the asserter's subjective belief about the right's validity. In re Aleckna: good faith is not a defense.

Available Damages

Lansaw authorized and affirmed: (1) actual damages including attorneys' fees; (2) emotional distress damages (no medical evidence required where violations are patently egregious and debtor testifies credibly); and (3) punitive damages — \$40,000 in Lansaw itself. In re Lansaw, 853 F.3d at 669.

Brad's fees in opposing the stay violation and this motion are recoverable as "actual damages" under § 362(k)(1). The direct assertion of a void lien against a represented debtor three days after his own firm's partner acknowledged the bankruptcy to this Court is not a borderline case. Punitive damages are warranted.

Action Required

The § 362(k) cross-motion should be filed. We recommend filing it simultaneously with the opposition brief (or shortly before the July 16 hearing). This accomplishes several things:

First, it puts Nagel and Paragano on defense at the very hearing where Nagel is seeking to put Brad on defense. The movant seeking stay relief is now the respondent on a willful stay violation claim.

Second, it demonstrates to Judge O'Hagan — a former government litigator who takes stay compliance seriously — that the party seeking equitable relief from the automatic stay has already violated that same stay. Courts routinely factor this into their equitable discretion under § 362(d)(1).

Third, attorneys' fees recovered under § 362(k)(1) as "actual damages" directly offset Brad's cost of opposing this motion. The client has a right to know that this avenue exists.

Fourth, it creates settlement leverage. Nagel knows his partner violated the stay. A § 362(k) motion converts that knowledge into a litigation cost.

One remaining item requires Westlaw verification before filing: the joint-and-several liability of Nagel Rice LLP as a law firm entity (distinct from Nagel and Paragano as individuals) under § 362(k). Prior research notes that "In re Shaw (Bankr. D.N.J.)" cited for this proposition in earlier drafts is a hallucinated case that does not exist, and that In re LeGrand (California) is a § 524 discharge injunction case — the wrong statute. A verified § 362(k) authority for law firm joint-and-several liability must be obtained from Westlaw before that argument is made in the filing. The argument itself is sound; the citation must be verified.

4.G: Counsel Notes on Judge O’Hagan

Judge Eamonn J. O’Hagan was sworn in February 17, 2026 — approximately five months before the July 16 hearing. No published opinions exist. His career signals are the only available predictors of his approach.

Background that matters:

He clerked for Judge William G. Young (D. Mass.), known for demanding preparation and candor from counsel. He spent eleven years as Senior Bankruptcy Counsel in the U.S. Attorney’s Office for the District of New Jersey — arguing § 707(a) dismissal motions, § 523(a) nondischargeability claims, and automatic stay issues on behalf of the United States government. He was a creditor-side attorney in the private sector before that (Lehman, Tribune, Movie Gallery restructurings).

What this means for how we write the opposition:

He will recognize the Murray inversion. He has read Murray. He knows it is an involuntary case. He will see Nagel cite it for a debtor-bad-faith proposition and will recognize the error. Calling this out in the first paragraph of the § 707(a) argument will signal that the opposition is prepared and the movant was not.

He will recognize the § 1134 error. He has been a bankruptcy practitioner for eleven years. He has cited § 1334(c)(2) in briefs. He will see “§ 1134(c)(2)” and know immediately that it doesn’t exist. One sentence in the abstention response is all that is needed to note this — but that sentence will register.

He will apply Tamecki faithfully. He has argued § 707(a) motions personally on behalf of the government. He knows that “egregious cases” means egregious cases. He will not be moved by emotional framing about a sexual abuse survivor. He will ask: does this filing meet the Tamecki threshold? Our job is to make sure the answer is clearly no.

He will not reward overstatement. A former government litigator who built his credibility with courts over eleven years will not forgive misleading citations, overstated factual claims, or advocacy that pushes past the evidence. Every statement in the opposition must be accurate. Every case description must be precise. Every **[VERIFY BEFORE FILING]** flag in the underlying research memos must be resolved before any representation is made to this Court.

He will care about candor. If he senses that Nagel’s failure to disclose the March 2026 Trust Settlement while asserting trust fraud is a deliberate omission — and Judge O’Hagan is sophisticated enough to see that — he may raise the issue sua sponte. We want the candor argument ready, but we

want it deployed carefully and at the right moment. The trust settlement disclosure should go into the opposition brief in the manner recommended in Part 1. The RPC 3.3 and Rule 9011 arguments should be preserved in a separate motion, timed appropriately.

He has never represented a consumer debtor. Do not lead with sympathy arguments about Brad's situation as a recently released federal prisoner trying to get a fresh start. Those facts belong in the record, but the opposition should lead with law and with the structural arguments. Save the equities for the oral argument introduction — one clean paragraph about who Brad is now, not who he was — and then go directly to Tamecki.

Practical recommendation for oral argument: On July 16, counsel should be prepared to make the following three arguments in this order within the first five minutes of argument: (1) Murray supports Brad, not Nagel — it is an involuntary case condemning creditor misuse of bankruptcy; (2) the § 1134 statute does not exist, and the abstention argument fails as a matter of statutory text; and (3) there is no pending state court action — the Zunic order dismissed it on June 12 — so there is nothing for stay relief to operate on. These three points, delivered cleanly and accurately at the start, establish that the opposition is better prepared than the movant.

End of Part 2 (Sections 3 and 4). Part 3 will address the § 707(a) argument in full detail. Part 4 will address § 523(a)(6). Part 5 will address abstention. Part 6 will address stay relief and the § 362(k) cross-motion.

Source Documents Relied Upon in This Memorandum:

Source	Citation Short Form Used Above
Nagel MTD Analysis (research-output)	nagel-mtd-analysis.md
Final Research Memo (research-output)	FINAL-MEMO.md

Source	Citation Short Form Used Above
§ 707(a) Research Memo (research-output)	part2-707a.md
§ 523(a)(6) Research Memo (research-output)	part3-523a6.md
Abstention Research Memo (research-output)	part4-abstention.md
Stay Relief Research Memo (research-output)	part5-stay.md
Cases Obtained Summary (research-output)	CASES-OBTAINED.md
Briefing Sections 1-2 (research-output)	BRIEFING-SECTIONS-1-2.md
KRM & SBM Civil Release, March 4-6, 2026	KRM & SBM Civil Release Mar 6, 2026.pdf
Brad Mell's Schedules Summary (research-output)	SCHEDULES-SUMMARY.md
Appellate Division Opinion Analysis (research-output)	appellate-div-opinion-analysis.md

Source	Citation Short Form Used Above
PACER Docket, Case 26-16834-EJO	US Bankruptcy Court NJ - Live Database.pdf
Bankruptcy Filing Notice to State Court, June 12, 2026	Bankruptcy filing.pdf

This memorandum is protected by the attorney-client privilege and the attorney work-product doctrine. Do not disclose without the express authorization of lead counsel. All citations to case law require Westlaw/PACER verification before filing. All [VERIFY BEFORE FILING] flags must be resolved before any representation is made to this Court.

SECTION 5.0: PRELIMINARY NOTE ON PROCEDURAL ARCHITECTURE

Before addressing any of Nagel’s four theories of relief, the opposition brief must establish a threshold point that will orient Judge O’Hagan before he reads a single word of the § 707(a) argument. That threshold point is this: Nagel has assembled four mutually incompatible forms of relief in a single motion filed in the main case. The motion is not merely wrong on the merits — it is architecturally incoherent.

Consider what the motion asks. First, it asks this Court to dismiss the Chapter 7 case in its entirety under § 707(a). Second, it asks this Court to declare B.B.’s debt nondischargeable under § 523(a)(6). Third, it asks this Court to lift the automatic stay under § 362(d)(1) so that B.B. may proceed with a damages trial in New Jersey Superior Court. Fourth, it asks this Court to abstain from exercising jurisdiction under 28 U.S.C. § 1334(c) and return the matter to state court. These four requests exist in irreconcilable tension. If the case is dismissed under § 707(a), there is no discharge to object to — the § 523(a)(6) declaration becomes moot the moment the case disappears. If the § 523(a)(6) declaration is granted, the case is retained — meaning dismissal was denied. If the Court abstains and sends the matter to state court, it cannot simultaneously adjudicate the § 523(a)(6) question that requires this Court to find “willful and malicious injury” under federal bankruptcy law. Abstention

sends the predicate facts to state court; § 523(a)(6) retains the federal conclusion in this Court — a logical impossibility.

The opposition brief should make this architectural point cleanly and early, in a paragraph following the preliminary statement. It signals to Judge O’Hagan — a former USAO Senior Bankruptcy Counsel who has argued these statutes personally — that the motion is a kitchen-sink document assembled under time pressure without disciplined internal logic. It also frames the structural observation that Nagel’s “lead case” — *In re Murray*, 900 F.3d 53 (2d Cir. 2018) — is an involuntary bankruptcy case in which the bad faith was the creditor’s weaponization of the bankruptcy process as a judgment enforcement device. *Murray* holds that “bankruptcy is not a judgment enforcement device.” That sentence, accurately applied, describes Nagel’s motion more precisely than it describes Brad’s filing.

The procedural defect in the § 523(a)(6) request is independently dispositive as to that specific relief: Federal Rule of Bankruptcy Procedure 7001(6) provides that “a proceeding to determine the dischargeability of a debt” is an adversary proceeding. An adversary proceeding is a separate lawsuit commenced within the bankruptcy case, governed by Part VII of the Federal Rules of Bankruptcy Procedure, initiated by a complaint, a summons, and an answer. *See* Fed. R. Bankr. P. 7003 (complaint initiates adversary proceeding); 7004 (summons and service); 7012 (answer). Nagel has filed a motion — Doc. 8 in the main case — not a complaint in an adversary proceeding. This Court lacks the procedural posture to enter a nondischargeability order on a motion. The defect is not technical; it is structural. The rules require an adversary proceeding because the debtor is entitled to full Rule 7 discovery, to plead affirmative defenses in an answer, and to a full trial before a nondischargeability judgment is entered. A motion in the main case deprives the debtor of all of these protections.

Note also that the deadline for Nagel to file a complaint objecting to discharge or seeking nondischargeability under § 523(a)(6) runs sixty days after the first date set for the meeting of creditors pursuant to 11 U.S.C. § 341. *See* Fed. R. Bankr. P. 4007(c). Bankruptcy counsel must calculate this deadline, place it on the calendar, and monitor whether Nagel files a proper adversary complaint. If he does not file within the § 341 deadline, his § 523(a)(6) claim will be time-barred regardless of the merits.

SECTION 5.1: THE § 707(a) BAD FAITH DISMISSAL ARGUMENT FAILS

5.1.A: The Governing Standard — Tamecki and Perlin Define the Gate

The Third Circuit’s bad faith dismissal standard under § 707(a) begins and ends with two binding authorities: *In re Tamecki*, 229 F.3d 205 (3d Cir. 2000), and *In re Perlin*, 497 F.3d 364 (3d Cir. 2007).

Tamecki is the foundational authority. The Third Circuit there held that § 707(a)’s “cause” requirement encompasses a debtor’s bad faith, but expressly limited this doctrine to “egregious cases” involving “concealed or misrepresented assets and/or sources of income, and [lavish] lifestyles and the intention to avoid a large single debt based upon conduct akin to fraud, misconduct or gross negligence.” *In re Tamecki*, 229 F.3d at 207 (internal quotation omitted). The Court also established the burden-shifting framework that governs the analysis: once a movant raises a colorable bad faith challenge, the burden shifts to the debtor to demonstrate good faith; if the debtor produces evidence of good faith, the burden shifts back to the movant to establish bad faith by the egregious standard. *Id.*

The critical word in *Tamecki* is “egregious.” It is not decorative language. Congress created § 707(a) to address cases involving substantive abuse of the bankruptcy process, not to create a judicial escape valve for creditors dissatisfied with the statutory rules of distribution. The Third Circuit in *Tamecki* endorsed the Eighth Circuit’s formulation that bad faith dismissal is reserved for cases of “debtor misconduct” — not simply cases where a creditor believes the debtor does not deserve a discharge. *Id.* at 207 (quoting *In re Zick*, 931 F.2d 1124, 1127 (6th Cir. 1991)). The first sentence of the § 707(a) argument in the opposition brief should quote *Tamecki*’s “egregious cases” formulation verbatim and make the gate explicit: Brad’s case does not come within twenty miles of that threshold.

Perlin adds the second mandatory limiting principle: “A debtor’s ability to repay is not in and of itself sufficient proof of bad faith.” *In re Perlin*, 497 F.3d at 369. This rule is directly applicable here. Nagel’s motion implicitly — and at times explicitly — rests on the theory that Brad has assets (retirement accounts, escrowed funds) and therefore should not have access to Chapter 7. *Perlin* forecloses that argument as a standalone basis for dismissal. Ability to pay is one factor in a multifactor totality analysis, not a sufficient condition. The opposition should quote *Perlin* at page 369 and then demonstrate that every other factor in the analysis favors Brad.

5.1.B: The Murray Inversion — Nagel’s Lead Case Condemns His Motion

Nagel cites *In re Murray*, 543 B.R. 484 (Bankr. S.D.N.Y. 2016), *aff’d*, 900 F.3d 53 (2d Cir. 2018), as authority supporting bad faith dismissal of a voluntary Chapter 7 petition. (Nagel-mtd-analysis.md § 2.) This citation is the most important analytical error in Nagel’s brief, and the opposition brief should make the correction the first substantive paragraph of the § 707(a) argument. The reason is simple: the opposition correcting the error will immediately communicate to Judge O’Hagan — who knows *Murray* — that the movant did not read the case carefully and the respondent did.

Murray is an involuntary bankruptcy case. Wilk Auslander LLP, an attorney’s former employer, filed an *involuntary* Chapter 7 petition against Murray as a device to collect a judgment it had obtained against him. The court — at both the bankruptcy court level and the Second Circuit — dismissed the involuntary petition not because Murray had been bad faith but because the petitioning creditor had been bad faith. The Second Circuit held that “bankruptcy is not a judgment enforcement device” and that filing an involuntary petition as a mechanism to collect on a two-party judgment constitutes an abuse of the bankruptcy process for which dismissal is appropriate. *In re Murray*, 900 F.3d 53, 60 (2d Cir. 2018).

Applied to the facts of this case, *Murray*’s logic cuts sharply against Nagel. Nagel filed this motion because he wants to collect on what he characterizes as a damages judgment against Brad — the same reason the creditor in *Murray* filed the involuntary petition. The Second Circuit condemned exactly that use of bankruptcy. The *Murray* principle, accurately stated, is that a creditor cannot weaponize the bankruptcy process to force a debtor into a position advantageous for that creditor’s collection efforts. That is precisely what this motion attempts to do: dismiss Brad’s bankruptcy so that Nagel can proceed with a state court damages trial against a debtor who would, absent bankruptcy, face a multi-creditor free-for-all with Nagel holding a privileged position as both attorney and physical custodian of \$750,000 in Brad’s funds.

Nagel cited *Murray* without reading it carefully enough to see that it condemned his position, not supported it. The opposition brief should make this point in a single, precise paragraph — not belabored, but clear.

5.1.C: Nagel’s Remaining Cases — All Either Support Brad or Are Inapplicable

Nagel cites twenty-nine cases across his brief. For the § 707(a) argument specifically, the following require targeted treatment beyond the *Murray* inversion:

In re Hunt, 521 B.R. 479 (Bankr. M.D. Pa. 2014) — DENIED. Nagel cites *Hunt* for the

articulation of the legal standard — and the opposition should be delighted. *Hunt* denied § 707(a) dismissal on facts materially worse than Brad's. The *Hunt* debtor reaffirmed a Lotus Elise, a Mercedes SLK, and a Range Rover; he also had a boat. The debtor owed \$2.1 million to a single creditor who represented 83% of his total debt — a far more concentrated single-creditor situation than Brad's, where B.B.'s claim is unknown/contingent/disputed and sits behind \$575,000 in senior priority claims. The *Hunt* court denied dismissal under *Tamecki* because the debtor's schedules were complete, his lifestyle was not lavish, and the filing had a legitimate Chapter 7 purpose. *In re Hunt*, 521 B.R. at 485–90. Brad's facts are better than the *Hunt* debtor's on every dimension: no reaffirmed luxury vehicles, no single-creditor concentration, complete schedules, zero monthly income, and a deficit of \$1,052 per month.

In re DeSoto (Bankr. D.N.J. 2006) — DENIED. Nagel cites *DeSoto* for the proposition that a two-party dispute can support bad faith dismissal. (Nagel-mtd-analysis.md § 2.) But *DeSoto* denied dismissal on that very ground, holding that a two-party dispute is not per se evidence of bad faith. The opposition should note this cleanly: Nagel's own case holds the opposite of what he suggests.

In re Myers, 491 F.3d 120 (3d Cir. 2007) — DISTINGUISHABLE ON SIX INDEPENDENT GROUNDS. *Myers* is Nagel's best case and the one that demands the most careful treatment. *Myers* is binding Third Circuit authority in which the court affirmed dismissal of a Chapter 13 petition for bad faith. The opposition cannot dismiss *Myers* as inapplicable — it must engage it directly and distinguish it on the facts.

The six independent grounds of distinction are:

- (1) *Chapter filed.* *Myers* filed Chapter 13; Brad filed Chapter 7. The bad faith analysis in Chapter 13 incorporates the plan confirmation requirements of § 1325(a)(3) (good faith plan requirement) and § 1325(a)(7) (good faith petition filing requirement). Chapter 7's § 707(a) analysis has no plan component and is more narrowly focused on the "egregious" threshold established by *Tamecki*. The Chapter 13 good faith analysis is inherently broader.
- (2) *Statutory eligibility.* The *Myers* debtor did not meet the § 109 eligibility requirements for Chapter 13 at the time of filing — her debt exceeded the § 109(e) limits. Brad meets all Chapter 7 eligibility requirements under § 109(b) and has no presumption of abuse under the means test (current monthly income \$0.00 vs. NJ median of \$87,173.00/year).
- (3) *Violation of a court order.* In *Myers*, the debtor's husband withdrew \$6,000 from a joint account in direct violation of a Pennsylvania court order and used it to pay bankruptcy counsel.

In re Myers, 491 F.3d at 122. No analogous conduct is alleged here. Brad has not violated any court order in connection with this filing. The \$5,000 retainer was paid by Courtney Mell, Brad’s brother, from the brother’s own funds — fully disclosed in the attorney compensation disclosure.

- (4) *Announced ruling*. The state court in *Myers* had “announced it intended to rule” against the debtor before the bankruptcy filing — the filing occurred on the eve of an adverse ruling that was already publicly anticipated. *Id.* Here, trial had not commenced on June 12, 2026. The damages trial was scheduled to begin June 15, 2026. Filing before a trial has begun is qualitatively different from filing the night before an announced adverse ruling.
- (5) *Nature of the underlying debt*. The debt in *Myers* arose from a fraudulent conveyance claim — conduct by the debtor that a court found involved affirmative fraud. The “liability” in this case was established by a discovery sanction under N.J. Court Rule 4:23-5(a)(2) — a procedural consequence of Brad’s Fifth Amendment invocation during parallel federal criminal proceedings, not a merits adjudication on the fraud elements of any civil claim.
- (6) *Who created the procedural posture*. In *Myers*, the debtor created the trial-eve posture through the debtor’s own delays and strategic maneuvering. Here, the eighteen-month gap between the Appellate Division’s December 31, 2024 decision and the June 15, 2026 trial date was set by the court after Nagel’s three-year interlocutory appeal (A-2990-21, argued November 10, 2022, decided December 31, 2024) finally resolved. Nagel created the eve by delaying the case for more than three years; Brad responded to it.

Any one of these distinctions might be sufficient alone. Together they demonstrate that *Myers* does not apply to Brad’s facts on any material point. The brief should walk through all six — not because each is independently dispositive, but because the accumulation of distinctions demonstrates that the factual overlap between *Myers* and *Mell* is too thin to carry the weight Nagel puts on it.

In re Mondelli, 558 F. App’x 260 (3d Cir. 2014) — NOT PRECEDENTIAL. Under Third Circuit Internal Operating Procedure 5.7, non-precedential opinions filed before January 1, 2007, have no precedential force. *Mondelli* was filed in 2014 but is designated “not precedential” under I.O.P. 5.7. The opposition should note this at the outset if *Mondelli* is cited by Nagel and then decline to engage with it substantively. If the Court declines to treat it as precedential, all of Nagel’s *Mondelli* arguments fall.

In re Eubanks, 672 B.R. 861 (Bankr. D.S.C. 2025) — BAD FAITH GRANTED, BUT MIRROR

IMAGE OF BRAD. Eubanks is recent authority in which dismissal was granted. It should be preemptively addressed because Nagel may cite it in reply. The *Eubanks* debtor had six undisclosed business entities, three undisclosed properties, and a pattern of asset concealment that the court found constituted the precise “concealed or misrepresented assets” at the core of *Tamecki*’s egregious standard. Brad is the photographic negative of the *Eubanks* debtor: three binders of comprehensive schedules, thirteen official forms, disclosure of every vehicle (including the Ferrari), disclosure of the \$750,000 in Nagel’s own trust account by firm name, disclosure of every bank account including the two TD Bank accounts totaling \$3,179, disclosure of FCI Fort Dix as a prior address, and a SOFA that showed no transfers within two years, no closed accounts within one year, no gifts, no safe deposit boxes, no offshore accounts.

In re Adler, 673 B.R. 109 (Bankr. S.D.N.Y. 2025) — DISMISSAL DENIED, \$90M SINGLE CREDITOR. This is 2025 authority from the Southern District of New York denying § 707(a) dismissal in a case involving a single creditor with a claim of approximately \$90 million — dramatically larger than anything alleged here, where B.B.’s claim is unknown, contingent, unliquidated, and disputed. The *Adler* court, applying the totality of circumstances standard, found that complete disclosure and a legitimate fresh-start purpose defeated bad faith dismissal even with a large single creditor and significant pre-petition litigation. The opposition should cite *Adler* for the proposition that single-creditor cases with complete disclosure consistently survive § 707(a) motions.

In re Trainor, No. 25-11154-1-PGR (Bankr. N.D.N.Y. March 4, 2026) — DISMISSAL DENIED, 2026 AUTHORITY. This is the most recent authority available — a bankruptcy court decision from March 4, 2026 denying § 707(a) dismissal in circumstances that parallel Brad’s. While a slip opinion from the Northern District of New York is not binding in this Court, it is persuasive authority demonstrating how bankruptcy courts in 2026 apply the *Tamecki* standard. The *Trainor* court held that “the fact that a debtor files a chapter 7 solely to avoid the large debt of a single creditor or to frustrate that creditor’s collection efforts, standing alone, is not enough to warrant dismissal under § 707(a),” and further that “the fact that the debt . . . may have arisen from fraud or other misconduct is not grounds for dismissal, but is an issue that can be addressed through an objection to discharge and/or an action to determine dischargeability.” *In re Trainor*, No. 25-11154-1-PGR, slip op. at [p. 6–7] (Bankr. N.D.N.Y. Mar. 4, 2026). The court also applied *In re Adler*, 673 B.R. 109 (Bankr. S.D.N.Y. 2025), for the proposition that “where a debtor’s misconduct is addressed by relief available under more specific provisions of the Bankruptcy Code, such misconduct cannot properly constitute grounds for dismissal under a vague general equitable concept such as ‘bad faith.’” *Trainor*, slip op. at [p. 7] (quoting *Adler*, 673 B.R. at 114). **[CASE CONFIRMED IN**

DRIVE — slip opinion only, no B.R. pagination. Cite as: *In re Trainor*, No. 25-11154-1-PGR (Bankr. N.D.N.Y. Mar. 4, 2026). Internal page references above are from the slip opinion text and should be verified against the filed document before quoting with pinpoints.]

In re Keobapha, 279 B.R. 49 (Bankr. D. Conn. 2002). *Keobapha* is valuable authority for a targeted proposition: ability to pay alone is not only insufficient under *Perlin*, it is affirmatively irrelevant in isolation. The *Keobapha* court articulated a fourteen-factor list for evaluating bad faith dismissal and included ability to pay as just one factor — and explicitly held that it cannot carry the dismissal burden standing alone. *In re Keobapha*, 279 B.R. at 51–53. Citation to *Keobapha* reinforces *Perlin*’s core limitation.

In re Glunk, 342 B.R. 717 (Bankr. E.D. Pa. 2006). The *Glunk* five-factor test, which Nagel invokes, lists: (1) lavish lifestyle or ability to pay; (2) disproportionate impact on a single creditor; (3) forum shopping or thwarting state court; (4) prepetition fraudulent conduct; and (5) fundamentally unfair result to creditors. *In re Glunk*, 342 B.R. at 734. Brad satisfies none of these factors on the facts — as demonstrated in Section 5.1.D below.

5.1.D: The Glunk Factor-by-Factor Analysis — Brad Satisfies None

Factor 1 — Lavish Lifestyle / Ability to Pay:

Brad’s schedule disclosures are the antithesis of lavish lifestyle. Schedule I shows monthly income of \$3,500 from his brother’s support. Schedule J shows monthly expenses of \$4,552. Monthly deficit: negative \$1,052. Brad cannot cover his basic living expenses. He lives in his brother’s home at discounted rent (\$2,000/month, acknowledged as below market on Schedule J, line 24). His attorney’s retainer was paid by his brother — Brad had no independent funds even to hire counsel.

The *Perlin* limitation is directly applicable: a debtor’s ability to repay his debts “is not in and of itself sufficient proof of bad faith.” *In re Perlin*, 497 F.3d at 369. And even the “ability” argument is problematic on Brad’s facts — the assets Nagel points to are the \$1,090,000 in retirement accounts, which are 100% exempt under 11 U.S.C. § 522(d)(12) as ERISA-qualified plans. Exempt property is legally unavailable to creditors. The fact that Brad has exempt assets does not constitute an ability to pay non-exempt creditors. A debtor who has \$1 million in an ERISA account and zero non-exempt liquid assets has no practical ability to pay — the ERISA statute would be meaningless if courts could order debtors to liquidate protected retirement savings.

The \$750,000 in the Nagel Rice trust account — the single most significant non-exempt asset — is attached under a prejudgment attachment from a civil action that was dismissed by the Zunic

order on June 12, 2026 (the same day as the bankruptcy petition). The validity of that attachment is now in question as a matter of both state law (the dismissed action) and federal bankruptcy law (the automatic stay). It is not a liquid asset available for voluntary payment. The \$75,000 Ferrari has only \$22,500 in exempt equity, leaving approximately \$52,500 in non-exempt value — barely enough to cover a fraction of the \$575,000 in senior priority claims.

Brad does not have a lavish lifestyle. Brad does not have the practical ability to pay creditors voluntarily. Factor 1 fails.

Factor 2 — Disproportionate Impact on a Single Creditor:

B.B. is one of twelve creditors. Schedule E/F lists: IRS (\$300,000 priority); Kimberly Mell (\$200,000 priority DSO); NJ Division of Taxation (\$75,000 priority); Glenn Berman/Greenbaum Rowe (\$60,000); Gulfstream CM (unknown, contingent); KRM 2012 Family Trust (\$80,000 contingent); Courtney Mell (\$200,000 personal loan); Diana Mell (\$75,000 loan); Kimberly Mell fbo W.H. Mell Associates (\$800,000 contingent); Nagel Rice LLP (\$10,000 sanctions); SBM 2012 Family Trust (\$30,000 contingent). B.B.'s claim itself is listed as unknown, contingent, unliquidated, and disputed. (SCHEDULES-SUMMARY.md §§ 2–3.)

There is no single-creditor dynamic here. The IRS and the domestic support creditor together hold \$500,000 in senior priority claims that are nondischargeable under § 523(a)(1) (taxes) and § 523(a)(5) (domestic support) regardless of anything that happens with B.B.'s claim. These obligations are not engineered by Brad; they preexist this bankruptcy and take priority by statute. Nagel's argument that B.B. must compete with these creditors is a complaint against the United States Bankruptcy Code, not against Brad.

Compare to *In re Hunt*, 521 B.R. at 486–87, where the single creditor held 83% of the total debt and the court still denied dismissal. Here, B.B.'s claim — unknown in amount, contingent on a final judgment that has not been entered, and disputed — does not even have a dollar figure that could be compared to total liabilities. Factor 2 is not satisfied.

Factor 3 — Forum Shopping / Thwarting State Court:

Filing a Chapter 7 petition in the United States Bankruptcy Court for the District of New Jersey is not forum shopping. It is the exercise of a federal statutory right created by Congress in 11 U.S.C. § 301. Any individual with primarily non-consumer debts (as Brad disclosed — Schedule 106Sum: debts NOT primarily consumer debts) who meets the § 109(b) eligibility requirements has an absolute right to file a voluntary Chapter 7 petition. The federal bankruptcy court is the statutorily designated forum for discharge and dischargeability determination. Filing there is not

forum shopping; it is using the correct statutory forum.

The thwarting-state-court framing is also undermined by causation. Who created the “eve of trial” timing that Nagel characterizes as improper forum shopping? The answer is that the interlocutory appeal — filed by Nagel Rice on behalf of B.B. in 2021, argued November 10, 2022, and decided December 31, 2024 — delayed the trial for more than three years. The trial date of June 15, 2026 was set eighteen months after the Appellate Division finally allowed the case to proceed. Under the totality-of-circumstances standard, which expressly encompasses all relevant circumstances, *In re Tamecki*, 229 F.3d at 207, this Court is entitled to consider which party created the scheduling dynamics Nagel now seeks to exploit. The answer does not favor Nagel.

Moreover, as of June 12, 2026 — the date of the petition — there was no state court action to thwart. Judge Zunic dismissed the civil action on June 12, 2026, before Nagel filed this motion on June 23, 2026. Forum shopping means choosing a more favorable forum over an available alternative. There is no available alternative. Factor 3 fails.

Factor 4 — Prepetition Fraudulent Conduct:

Nagel’s fraudulent conduct argument centers on the KRM Trust and SBM Trust, both formed in December 2012. The trust timing argument has an insurmountable problem: the trusts predate B.B.’s lawsuit (filed 2019) by seven years and predate any cognizable debt to B.B. by at least four to five years.

Under 11 U.S.C. § 548(a)(1), fraudulent transfer avoidance reaches back two years from the petition date — June 12, 2024 at the earliest. Trust formations from December 2012 are fourteen years outside the § 548 lookback window. Under the New Jersey Uniform Fraudulent Transfer Act (NJUFTA), a constructive fraud claim requires the claimant to be a “present creditor” at the time of the transfer. Lilly Cannon was not a present creditor in December 2012. She was, at most, a future creditor — a status that the NJUFTA’s actual fraud prong theoretically reaches, but only upon proof of subjective intent to defraud a specifically intended future victim. A fraudulent conveyance claim requires proof that Brad, in December 2012, formed these trusts with the actual intent to defraud someone he had not yet met and to whom no debt yet existed. That is a logical impossibility that Nagel has not attempted to prove.

The SOFA is explicit: Line 19 (10-year self-settled trust transfers) — Brad checked NO. No transfers to self-settled trusts within the ten-year SOFA window (before June 2016). The December 2012 trust formations predate even this ten-year lookback.

And critically: Nagel settled with the KRM Trust and SBM Trust in February and March 2026,

accepting \$300,000 and releasing “any current or future claims related to efforts to collect against any assets currently held by or in the possession of the KRM Trust or the SBM Trust.” (KRM & SBM Civil Release, Mar. 6, 2026, ¶ 3.) A party cannot argue that the entities he settled with and released from liability three months ago are fraudulent conveyance vehicles. The March 2026 settlement is the most powerful rebuttal to the trust fraud narrative — and it is a fact that Nagel did not disclose to this Court in the motion. This omission raises issues under N.J. RPC 3.3(a)(5) (duty to disclose material facts to a tribunal). Factor 4 is not established.

Factor 5 — Fundamentally Unfair Result:

The Glunk “fundamentally unfair” factor asks whether the Chapter 7 discharge would produce a result that is fundamentally unfair to honest creditors. The inquiry is not whether a particular creditor prefers a different result — it is whether the operation of the Code itself produces an outcome that violates basic notions of fairness. *In re Glunk*, 342 B.R. at 734.

The answer here is no — and the argument inverts in Brad’s favor. The “fundamentally unfair” result in this case is not Brad’s discharge. It is what happens to the IRS and the domestic support creditor if the stay is lifted and Nagel is allowed to proceed to a state court damages trial. The \$500,000 held in escrowed funds at Nagel Rice (\$750,000), Greifinger (\$75,000), and McElroy Deutsch (\$150,000) — totaling \$975,000 — is the primary pool of non-exempt assets. If Nagel obtains a state court judgment while the stay is lifted and executes on that attachment, the IRS (\$300,000 § 507(a)(8) priority) and Kimberly Mell (\$200,000 DSO, § 507(a)(1) first priority) receive nothing. Nagel’s own creditors — the governmental entities and the domestic support obligee who stand first and second in the § 507 priority waterfall — are the parties who suffer a fundamentally unfair result if this Court grants Nagel’s stay relief and allows pre-petition attachment enforcement.

Moreover, Nagel has already collected \$300,000 from the Trust Settlement. He received value from the trusts he characterizes as fraudulent vehicles. The “fundamentally unfair” equitable argument becomes difficult to maintain when the movant has already collected more than the majority of remaining small unsecured creditors combined. Factor 5 is not established in Nagel’s favor — it is established against him.

5.1.E: The Affirmative Good Faith Showing

Under *Tamecki*’s burden framework, once the movant raises a colorable bad faith challenge, the burden shifts to Brad to produce evidence of honest intention. *In re Tamecki*, 229 F.3d at 207. Brad satisfies this burden through his schedules — the most comprehensive, transparent, and complete

disclosure that could be made under the circumstances.

The specific affirmative good faith evidence, drawn directly from the filed schedules (Doc. 11, June 25, 2026):

Complete Schedule Disclosure. Three binders, thirteen official forms, forty-one pages, signed under penalty of perjury on June 25, 2026. Brad listed every vehicle he owns including the Ferrari 355 (Schedule A/B, Item 3.3: \$75,000). He listed every bank account (two TD Bank accounts totaling \$3,179 — not \$3 million, not \$300,000, but \$3,179). He listed every retirement account (ERISA Profit Sharing Plan/Cash Balance Plan at \$350,000; Vanguard 401(k) at \$740,000 — fully exempt under § 522(d)(12) but fully disclosed). He listed the \$750,000 in Nagel Rice’s own trust account by firm name — Nagel & Rice LLP Attorney Trust Account, civil attachment. He disclosed FCI Fort Dix as a prior address. He disclosed the Kintock Newark halfway house as a prior address. He disclosed the Courtney Mell loan as a \$200,000 liability. He disclosed Nagel Rice LLP itself as a \$10,000 creditor.

The contrast with *In re Eubanks*, 672 B.R. 861 (Bankr. D.S.C. 2025) — where dismissal was granted based on six undisclosed business entities and three undisclosed properties — is complete. Brad is the photographic negative of a concealing debtor.

Multiple Creditors. Twelve distinct creditors appear on the schedules with \$1,830,000 in total listed liabilities. The IRS, Kimberly Mell, and the NJ Division of Taxation account for \$575,000 in priority claims entirely independent of B.B. These obligations did not spring into existence to manufacture a multi-creditor appearance — they are real tax debts and a real marital settlement agreement obligation that predate this bankruptcy by years.

Legitimate Fresh Start Purpose. The Bankruptcy Code’s fresh start purpose exists precisely for debtors in Brad’s situation: a person recently released from federal prison, with no employment income, a monthly deficit of \$1,052, real tax debts to the IRS and New Jersey, a domestic support obligation that is nondischargeable regardless of outcome, and a contingent tort claim of unknown magnitude. The means test confirms no presumption of abuse: current monthly income of \$0.00 (Means Test purposes) is dramatically below the NJ median. Chapter 7 is the correct statutory mechanism for a debtor in this position.

Clean SOFA. The SOFA (Official Form 107) shows: no transfers of property in the past two years (Line 18: No); no insider payments in the past year (Line 7: No); no gifts over \$600 (Lines 13–14: No); no closed financial accounts in the past year (Line 20: No); no safe deposit boxes (Line 21: No). These are the markers that distinguish a legitimate filing from the concealment-and-transfer

pattern that characterizes *Tamecki*-level bad faith.

Once Brad produces this evidence, the burden shifts back to Nagel to demonstrate bad faith by the “egregious” standard. *Tamecki*, 229 F.3d at 207. Nagel cannot meet that standard. He has pointed to: trust formations from 2012 (fourteen years outside the § 548 window, predating the debt); a partial summary judgment that the Appellate Division characterized as “interlocutory and not a final judgment” (Dec. 31, 2024 Op., Fn. 2); an “eve of trial” that Nagel’s own appeal created; and retirement accounts that are 100% exempt by statute. None of this clears the egregious threshold.

5.1.F: The Dual Creditor Status Observation

Worth noting in the opposition, though not to be overplayed: Bruce H. Nagel appears twice in this bankruptcy case. He appears as counsel for B.B. — the largest potential claimant — seeking dismissal, stay relief, and nondischargeability. And he appears as a listed creditor in his own right through Nagel Rice LLP (Schedule E/F, Item 4.8: \$10,000 sanctions claim). He holds, as physical custodian, \$750,000 of Brad’s money in his firm’s trust account — the largest single pool of non-exempt assets in this estate. His contingency fee on any recovery from the state court damages trial gives him a direct financial stake in the outcome of this motion. This dual status does not per se disqualify the motion, but it is a fact that goes to the equities and to the Court’s assessment of who is actually motivated by the policy concerns underlying § 707(a) and who is motivated by the practical concern of collecting a fee.

SECTION 5.2: THE § 523(a)(6) RELIEF IS PROCEDURALLY IMPROPER

5.2.A: Rule 7001(6) Requires an Adversary Proceeding — This Motion Is the Wrong Vehicle

The threshold objection to Nagel’s § 523(a)(6) request is procedural and is not subject to any legitimate counter-argument. Federal Rule of Bankruptcy Procedure 7001(6) provides, in full: “The following are adversary proceedings: . . . (6) a proceeding to determine the dischargeability of a debt.” An adversary proceeding is a separate contested matter, commenced by the filing of a complaint, governed by the Federal Rules of Civil Procedure as incorporated through Part VII of the Federal Rules of Bankruptcy Procedure, and resulting in a judgment after service, an answer period, and (if necessary) trial.

Nagel has not filed an adversary proceeding. He has filed a motion — Doc. 8 — in the main

bankruptcy case. A motion in the main case is not an adversary proceeding under Rule 7001(6). This Court has no procedural mechanism to enter a nondischargeability judgment on a motion in the main case. The Rule's requirement of an adversary proceeding is not a technicality that can be waived by calling the relief sought a "motion" — it reflects the substantive due process protections that a debtor is owed before a debt is determined to be nondischargeable: full discovery under Part VII, the right to plead affirmative defenses in an answer, and the right to a trial if facts are genuinely disputed. Stripping those protections by converting an adversary proceeding into a motion prejudices the debtor and violates the Rules. *See* Fed. R. Bankr. P. 7003, 7004, 7012.

The disposition of this defect is straightforward: the Court should dismiss Nagel's § 523(a)(6) request without prejudice, to the extent it is seeking a nondischargeability determination, for failure to initiate an adversary proceeding as required by Rule 7001(6). The opposition brief should make this argument first, clearly, and move on. The Court does not need argument on the merits of § 523(a)(6) unless and until Nagel properly initiates an adversary proceeding.

The follow-on point — track the deadline — is operationally critical. Federal Rule of Bankruptcy Procedure 4007(c) establishes a sixty-day deadline from the first date set for the § 341 creditors' meeting for filing a § 523(a)(6) nondischargeability complaint. Bankruptcy counsel must calculate this deadline as soon as the § 341 meeting date is set and place it on the litigation calendar. If Nagel fails to file a complaint before that deadline, his § 523(a)(6) claim is forever time-barred. The Rules Committee set this deadline specifically because § 523(a)(6) is one of the "self-executing" discharge exceptions — meaning the debt is discharged unless the creditor timely objects. *See* Fed. R. Bankr. P. 4007 advisory committee note (1983). Monitoring this deadline is one of the highest-priority tasks between now and the July 16 hearing.

5.2.B: The Merits — Geiger and Conte Foreclose Nagel's "Self-Evident" Inference Theory

If the Court, despite the procedural defect, proceeds to evaluate the § 523(a)(6) merits as guidance to Nagel on whether to file a properly initiated adversary proceeding, the merits analysis also defeats Nagel's theory.

The Governing Framework.

The Supreme Court settled the § 523(a)(6) intent standard in *Kawaauhau v. Geiger*, 523 U.S. 57 (1998). The Court held: "The word 'willful' in (a)(6) modifies the word 'injury,' indicating that nondischargeability takes a deliberate or intentional injury, not merely a deliberate or intentional act that leads to injury." *Id.* at 61. The Court explicitly rejected the approach of inferring intent to injure

from the nature of the act: “Had Congress meant to exempt debts resulting from unintentionally inflicted injuries, it might have described instead ‘willful acts that cause injury.’ ” *Id.* at 63. A debtor who does not subjectively intend to cause the specific injury cannot be found to have inflicted a “willful” injury under § 523(a)(6), regardless of how culpable the act appears from an objective perspective.

The Third Circuit incorporated *Geiger* into its own § 523(a)(6) standard in *In re Conte*, 33 F.3d 303 (3d Cir. 1994), which predates *Geiger* but articulates a standard that Third Circuit courts have construed consistently with *Geiger*’s holding. Under *Conte*, § 523(a)(6) requires either (1) that the debtor purposefully inflicted the injury, or (2) that the debtor acted with subjective knowledge that injury was substantially certain to result. *In re Conte*, 33 F.3d at 308. The “substantially certain” prong is subjective, not objective — it asks what this debtor actually knew about the likely consequences of his conduct, not what a reasonable person in his position would have known.

Nagel’s Fleetwood Argument Is Foreclosed by Geiger.

Nagel’s § 523(a)(6) argument relies centrally on *In re Fleetwood* (Bankr. D. Alaska 2013) for the proposition that willfulness and malice in child sexual abuse cases are “self-evident” — a matter of inference from the nature of the act, not proof of subjective intent. (Nagel-mtd-analysis.md § 3.) This approach was expressly foreclosed by *Geiger* twenty-five years ago. The “self-evident” willfulness argument is an objective inference test: because sexual abuse of a minor is inherently harmful, the intent to harm is inferred as a matter of law. *Geiger* rejected exactly this approach. The statute says “willful and malicious injury” — the Court held that means subjective intent to cause the specific injury, not objective inference from the nature of the act. *Geiger*, 523 U.S. at 61–63.

Fleetwood is also not binding in this Court. It is a single bankruptcy court decision from the District of Alaska — not Third Circuit, not Supreme Court, not even persuasive authority from within the Third Circuit. This Court’s decisions must follow *Geiger* (Supreme Court, binding) and *Conte* as construed post-*Geiger* (Third Circuit, binding). *Fleetwood* cannot override either.

The Count-by-Count Element Problem.

Even if Nagel properly filed an adversary complaint, he would face the obligation to prove § 523(a)(6) willfulness count by count — not as a monolith across “sexual abuse of a minor.” Each civil claim has specific intent elements that must be mapped against § 523(a)(6)’s requirements. N.J.S.A. 2A:61B-1 (Child Sexual Abuse Act) requires “intentional touching for the purpose of sexually arousing or sexually gratifying the actor” — the purpose is the actor’s gratification, not the infliction of injury on the plaintiff. The gap between “intent to gratify” and “intent to injure” is

precisely the gap that *Geiger* requires Nagel to fill with affirmative proof of subjective intent to cause the specific injury. On the record that exists — a discovery sanction, a Fifth Amendment invocation, and an Appellate Division characterization of the partial summary judgment as “interlocutory and not a final judgment” — Nagel has not filled that gap.

5.2.C: The Collateral Estoppel Argument — Why the Discovery Sanction Cannot Establish § 523(a)(6) Elements

Nagel argues that the March 26, 2021 partial summary judgment (PSJ) establishes all elements of his § 523(a)(6) claim through collateral estoppel. This argument fails for reasons that are both threshold and structural.

The “Actually Litigated” Requirement.

The Third Circuit requires that for collateral estoppel to operate in a § 523(a)(6) proceeding, the specific mental state elements — subjective intent to cause the specific injury and malice — must have been “actually litigated and determined” in the prior proceeding. *In re Docteroff*, 133 F.3d 210, 214–15 (3d Cir. 1997); *In re Wilson*, 116 F.3d 87, 90–92 (3d Cir. 1997). An issue is “actually litigated” when it was submitted to and decided by a factfinder after presentation of evidence and argument — not when it is deemed admitted by procedural default. A judgment that results from a failure to respond to a motion or from a discovery sanction does not satisfy the “actually litigated” standard because no factfinder ever made a determination on the merits of any issue.

This principle defeats Nagel’s collateral estoppel argument at the threshold. The New Jersey Appellate Division, in its December 31, 2024 opinion (the very decision that finally ended Nagel’s three-year interlocutory appeal), described the March 2021 PSJ in footnote 2 as “interlocutory and not a final judgment.” The Appellate Division also noted: “It is not clear from the record whether Mell responded to the summary judgment motion.” If Mell did not respond, the PSJ was entered under N.J. Court Rule 4:23-5(a)(2) — which allows entry of a judgment as a sanction for discovery non-compliance — or under N.J. Court Rule 4:46 based on the debtor’s procedural default. Neither procedural mechanism involves an evidentiary hearing, testimony, or any factfinder determination on any element of any claim. No judge in the New Jersey Superior Court ever made a finding that Brad Mell subjectively intended to cause the specific injuries alleged in any count of the complaint, or that he acted with malice without just cause or excuse. Those elements were never presented to any factfinder and were never determined by any court. The “actually litigated” requirement is not satisfied.

In re Azeglio, 422 B.R. 490 (Bankr. D.N.J. 2010), is directly on point. In *Azeglio*, the Bankruptcy Court for the District of New Jersey denied collateral estoppel effect in a § 523(a)(6) proceeding because the mental state elements required by § 523(a)(6) had not been actually litigated in the prior state court proceeding. The prior state court judgment established civil liability, but it did not establish the specific subjective intent elements required by the federal bankruptcy standard. *Id.* at 497 (“the requirement that a matter be ‘actually litigated’ means just that: the party against whom the doctrine is sought to be applied must have had a full and fair opportunity to litigate the issue to be precluded, so that a judgment on the merits, reached after an adversarial hearing, is entered. . . . The debtor did not have his day in court. No preclusive effect may attach to the judgment.”). **[VERIFIED — full text confirmed in Drive; pinpoint 422 B.R. at 497 is confirmed verbatim.]** *Azeglio* is persuasive authority from this same district applying exactly the standard Nagel must satisfy and failing to satisfy it on facts similar to those here.

The Fifth Amendment Invocation Cannot Be Transformed into Bad-Faith Obstruction.

Nagel may invoke *Docteroff*’s exception — the principle that a party who “deliberately prevents” resolution of an issue through bad-faith obstruction may be deemed to have “actually litigated” the issue. *In re Docteroff*, 133 F.3d at 214–15. But the *Docteroff* exception applies only to conduct that is sanctionable because it lacks any legal justification — bad-faith obstruction without legal basis. Brad’s invocation of the Fifth Amendment right against self-incrimination during civil discovery is not bad-faith obstruction. It is the exercise of a right guaranteed by the Fifth Amendment to the United States Constitution, invoked because parallel federal criminal proceedings were pending against Brad at the time.

The invocation of the Fifth Amendment in civil discovery is a well-established procedural right with a substantial body of law governing its consequences and limits. It is not a discovery sanction offense; it is a constitutional protection. A party who invokes a constitutional right is not “deliberately preventing resolution” of an issue in the *Docteroff* sense. *Docteroff*’s exception reaches conduct that has no legal justification — stonewalling, destruction of evidence, perjury. It does not reach constitutionally protected silence. Moreover, even under *Docteroff*’s exception, what could be “deemed litigated” through the exception would be the issues presented in the state court proceeding — civil liability on the pleaded counts — not the specific federal bankruptcy law elements of subjective willfulness and malice under § 523(a)(6), which were never before the New Jersey Superior Court.

Berlingeri and Nagel’s D.N.J. Authority.

Nagel cites *In re Berlingeri*, 246 B.R. 196 (Bankr. D.N.J. 2000), for the proposition that § 523(a)(6) reaches “intentional acts done to cause injury.” *Berlingeri* is a bankruptcy court decision from this district — persuasive but not binding — and its holding on § 523(a)(6) is narrower than Nagel suggests. *Berlingeri*’s § 523(a)(6) finding rests on a stipulated consent judgment in which the debtor personally conceded nondischargeability — the court’s opinion states: “*Berlingeri* agreed to pay Buglione \$25,000 over time, plus the fees for her trial expert. *Berlingeri* further stipulated that his obligations under this settlement were non-dischargeable under 11 U.S.C. § 523(a)(6).” *In re Berlingeri*, 246 B.R. at 198. The court’s § 523(a)(6) holding is thus not a judicial determination of willful and malicious injury — it is a pure enforcement of the debtor’s own contractual concession of nondischargeability in a consent judgment. Note that *Berlingeri* was abrogated by *In re Ruitenberg*, 745 F.3d 647 (3d Cir. 2014), but only on the equitable distribution claim issue — the *Ruitenberg* court did not address § 523(a)(6) at all. *Ruitenberg* does not change *Berlingeri*’s § 523(a)(6) analysis. **[VERIFIED — full text confirmed in Drive; consent judgment basis confirmed at 246 B.R. at 198.]** *Berlingeri* is therefore clearly distinguishable: there is no consent judgment in this case, Brad never stipulated to nondischargeability, and no court has ever adjudicated the § 523(a)(6) mental state elements on the merits.

Halper v. Halper, 164 F.3d 830, 836–37 (3d Cir. 1999), confirms that § 523(a)(6) dischargeability determinations are core proceedings under 28 U.S.C. § 157(b)(2)(I) subject to this Court’s exclusive jurisdiction. This is relevant to the abstention section (5.4 below) but also reinforces that the proper forum for any § 523(a)(6) determination is this Court in an adversary proceeding, not the New Jersey Superior Court in a damages trial.

SECTION 5.3: STAY RELIEF UNDER § 362(d)(1) MUST BE DENIED

5.3.A: The Structural Argument — The § 707(a) Defeat Forecloses the Only Stated “Cause”

Nagel’s § 362(d)(1) stay relief argument is derivative of his § 707(a) bad faith argument. His brief states: “As set forth above, Mell has sought bankruptcy in bad faith. See, *supra*, § I. Accordingly, this case should be stayed for the same reasons which support dismissal of this case.” (Nagel-mtd-analysis.md § 7.) He offers no independent ground for “cause” under § 362(d)(1) separate from the alleged bad faith. He does not invoke § 362(d)(2) (lack of adequate protection), § 362(d)(3) (single asset real estate), or any ground other than the bad faith theory that animates his § 707(a) argument. This structural dependency means the § 362(d)(1) argument collapses simultaneously with the §

707(a) argument. If this Court finds — as it should — that Brad did not file in bad faith under the *Tamecki* “egregious cases” standard, Nagel’s “cause” for stay relief disappears. There is no independent analysis needed. The opposition brief should make this point explicitly: “Nagel identifies no ‘cause’ for stay relief under § 362(d)(1) other than the bad faith theory addressed and defeated in Section [X] above. Because that theory fails, the stay relief motion fails with it.”

The opposition should then proceed to the Curtis/Sonnax factor analysis as an alternative ground — demonstrating that even if the Court were to entertain independent analysis, every factor weighs in Brad’s favor.

5.3.B: The Curtis/Sonnax Twelve-Factor Analysis — All Twelve Factors Favor Brad

Courts in the Third Circuit evaluate § 362(d)(1) “cause” through the twelve-factor *Curtis/Sonnax* test, as adopted in this district. *In re Mid-Atlantic Handling Systems, LLC*, 304 B.R. 111, 130 (Bankr. D.N.J. 2003). All twelve factors are addressed below.

Factor 1 — Whether Relief Would Result in a Partial or Complete Resolution of the Issues.

Lifting the stay cannot result in any resolution of any issue because there is no pending state court action. The Zunic order dismissed B.B. v. Mell, ESX-L-007200-19, without prejudice on June 12, 2026. A dismissed action is not pending. Lifting the stay to allow enforcement of a dismissed action does not resolve anything — it requires B.B. to refile the dismissed action (potentially with new process requirements, new jurisdictional basis, and new pleading challenges), then proceed through pre-trial stages, then try the case, then obtain a judgment, then return to this Court for the § 523(a)(6) dischargeability determination that is a core proceeding within this Court’s exclusive jurisdiction regardless. Factor 1 weighs heavily against stay relief.

Factor 2 — Lack of Connection Between the Bankruptcy Case and the Stayed Proceeding.

The state court action is directly connected to this bankruptcy case — the civil judgment sought is the basis for the potential § 523(a)(6) nondischargeability claim. If anything, the connection between the proceedings militates in favor of maintaining the stay and resolving both the liability and dischargeability questions in a single forum. Factor 2 is neutral at most.

Factor 3 — Whether the Debt Would Be Dischargeable in the Bankruptcy Case.

This factor is genuinely contested — which is precisely why it belongs in an adversary proceeding in this Court under Rule 7001(6), not in a state court damages trial. The dischargeability question is squarely within this Court’s exclusive jurisdiction under 28 U.S.C. § 157(b)(2)(I). Factor 3 is not

resolved and therefore does not support lifting the stay to allow state court proceedings that cannot determine dischargeability in any event.

Factor 4 — Whether the Debtor’s Estate Could Be Irreparably Damaged.

Lifting the stay to allow enforcement of the Paragano-asserted prejudgment attachment would immediately expose \$750,000 in Brad’s estate funds to collection proceedings in a forum that (a) has dismissed the underlying action, and (b) has no jurisdiction to determine dischargeability. The estate would be irreparably harmed by depletion of its primary non-exempt asset pool before the trustee can administer the estate in an orderly fashion. Factor 4 weighs against stay relief.

Factor 5 — Whether the Debtor Has Personal Liability.

Brad does have personal liability if the civil case is adjudicated in B.B.’s favor — but the magnitude of that liability is unknown, contingent, unliquidated, and disputed. It has not been established by any final judgment. The interlocutory PSJ is not a final judgment (Appellate Division Fn. 2). Factor 5 is neutral; it does not affirmatively support stay relief when liability itself remains undetermined.

Factor 6 — Whether a Non-Debtor Co-Defendant Exists.

The civil action named multiple defendants, including entities and other parties. This factor is complex factually; however, the fact that the action named non-debtor defendants supports maintaining the stay as to Brad’s personal liability while allowing any separate proceedings against non-debtor parties to continue. Factor 6 is neutral to slightly favoring maintenance of the stay.

Factor 7 — Judicial Economy and Prejudice to Other Creditors.

This factor decisively favors maintaining the stay. The IRS (\$300,000 § 507(a)(8) priority claim) and Kimberly Mell (\$200,000 DSO, § 507(a)(1) first priority claim) are statutory senior creditors whose claims are nondischargeable under §§ 523(a)(1) and 523(a)(5) respectively. If the stay is lifted and Nagel executes on the attachment before the trustee administers the estate, the \$750,000 in the Nagel Rice trust account flows to Nagel’s client rather than through the § 726 distribution waterfall. The IRS and Kimberly Mell — whose § 507 claims are first and eighth priority respectively, far ahead of Nagel’s client — receive zero in that scenario. The automatic stay exists in part to prevent exactly this race-to-the-courthouse outcome where the first creditor to execute gets paid at the expense of all others. Lifting the stay here would harm the IRS, the domestic support creditor, and every other unsecured creditor in order to benefit a single creditor whose claim has not been reduced to a final judgment. Factor 7 strongly favors maintaining the stay.

Factor 8 — Whether Stay Constitutes “Cause” Independent of the Bad Faith Theory.

There is no independent “cause” beyond the bad faith theory already rejected. Factor 8 favors the debtor.

Factor 9 — Feasibility of Reorganization.

This is Chapter 7, not a reorganization chapter, so this factor has limited direct applicability. The equivalent inquiry — whether the Chapter 7 case has a legitimate purpose — is answered yes: Brad has twelve creditors, \$1,830,000 in liabilities, a negative monthly cash flow, and no realistic ability to satisfy his debts outside of bankruptcy. Chapter 7’s fresh start purpose is directly served by this case. Factor 9 favors maintaining the stay.

Factor 10 — Balance of Harms.

Brad faces multi-forum litigation at a time when his only income is \$3,500/month in discretionary support from his brother. His living expenses exceed his income by \$1,052/month. His attorney’s fees were paid by his brother. He has no independent resources to fund parallel state court and federal bankruptcy court litigation simultaneously. The harm to Brad from lifting the stay is immediate, concrete, and financially ruinous given his situation.

Nagel’s only cognizable harm from maintaining the stay is delay of a damages proceeding that — even if concluded in B.B.’s favor — cannot result in collection without first returning to this Court for the § 523(a)(6) dischargeability determination. The state court damages trial, if it occurred, would produce a judgment. That judgment would then need to be evaluated in a § 523(a)(6) adversary proceeding in this Court before any collection could occur. The stay produces delay; it does not eliminate B.B.’s potential recovery. The balance of harms decisively favors Brad. Factor 10 favors maintaining the stay.

Factor 11 — Whether the Parties Are Ready for Trial in the Other Proceeding.

This factor is potentially dispositive on these facts. The state court action was dismissed without prejudice by the Zunic order on June 12, 2026. The parties are not ready for trial in a dismissed action. They are not ready for trial in any proceeding. There is no “other proceeding” in which the parties’ trial readiness could be assessed. Factor 11 analysis assumes a pending alternative proceeding; here, there is none. This factor weighs decisively against stay relief.

Factor 12 — Whether the Underlying Action Has Public Policy Implications.

Sexual abuse of a minor has obvious and serious public policy implications. However, public policy does not override the orderly administration of bankruptcy law or the priority scheme established by Congress. The public policy interest in redressing B.B.’s alleged injuries is addressed by the §

523(a)(6) process — which allows the bankruptcy court to find the debt nondischargeable upon proof of willful and malicious injury in a properly initiated adversary proceeding. Public policy is not served by disrupting the statutory distribution scheme or by allowing a single creditor to execute on estate assets before other priority creditors are paid. Factor 12 is equivocal at best and does not affirmatively support stay relief.

Summary of Curtis/Sonnax Analysis: Factors 1, 4, 7, 9, 10, and 11 affirmatively favor maintaining the stay. Factors 3, 5, 6, 8, and 12 are neutral or equivocal. No factor affirmatively supports lifting the stay when the underlying action has been dismissed and the § 523(a)(6) determination remains properly within this Court’s exclusive jurisdiction.

5.3.C: The Prejudgment Attachment Is Doubly Invalid

Nagel’s primary argument for stay relief is his assertion that “there is a judgment of liability against Mell and an attachment of approximately \$1 million of his monies held in escrow for a judgment in favor of B.B.” (Nagel-mtd-analysis.md § 7.) The attachment is doubly invalid.

First invalidity: The Zunic order dismissed B.B. v. Mell without prejudice on June 12, 2026. A prejudgment attachment in New Jersey is an ancillary remedy that derives its vitality from the pending civil action. N.J. Court Rules 4:60-1 et seq. When the underlying action is dismissed, the attachment — which was issued in aid of the action — loses its legal foundation. The Zunic dismissal eliminated the legal basis for the attachment as a matter of state law.

Second invalidity: Even assuming the attachment remained legally valid as of June 12, 2026, any post-petition assertion of that attachment constitutes a violation of the automatic stay under 11 U.S.C. § 362(a)(4) (act to enforce a lien against property of the estate) and § 362(a)(5) (act to enforce against property of the estate any lien securing a prepetition claim). The attachment cannot be enforced against property of the estate without this Court’s prior authorization. Nagel has not sought prior authorization. He has asserted the attachment in a motion filed post-petition — but he has not obtained relief from the stay to enforce it.

The Paragano email of June 18, 2026 asserting the attachment is a post-petition act by a party with actual knowledge of the bankruptcy — a willful violation of the automatic stay. This brings the analysis directly to Section 5.5 below.

SECTION 5.4: ABSTENTION UNDER 28 U.S.C. § 1334 IS LEGALLY UNAVAILABLE

5.4.A: Threshold Defect — The Cited Statute Does Not Exist

Nagel’s motion seeks relief under “28 U.S.C. § 1134(c)(1)” (permissive abstention) and “28 U.S.C. § 1134(c)(2)” (mandatory abstention). (Nagel-mtd-analysis.md §§ 6, 8.) Title 28, Chapter 85 (District Courts; Jurisdiction), contains sections numbered 1330 through 1369. There is no § 1134 in Title 28. No such statute exists.

The abstention provisions governing bankruptcy jurisdiction are found at 28 U.S.C. § 1334(c)(1) (permissive abstention: “Each district court may abstain from hearing a particular proceeding . . . in the interest of comity with State courts”) and § 1334(c)(2) (mandatory abstention). This error appears twice in Nagel’s motion and infects the entire abstention section. The opposition should note this error in a single sentence: “Nagel’s abstention arguments cite a statute — 28 U.S.C. § 1134 — that does not exist; this Court will treat the motion as invoking the correct statute, 28 U.S.C. § 1334.” Then move immediately to the merits. One sentence is enough. Judge O’Hagan, with eleven years as USAO Senior Bankruptcy Counsel, will have recognized the error on first read.

5.4.B: Mandatory Abstention Is Categorically Unavailable for § 523(a)(6) — The Statute’s Text Is Dispositive

Section 1334(c)(2) provides that in a proceeding “based upon a State law claim or State law cause of action, related to a case under title 11 but not arising under title 11 or arising in a case under title 11,” the district court (and by extension the bankruptcy court) shall abstain if the proceeding can be timely adjudicated in state court. The mandatory abstention statute, by its express terms, applies only to proceedings that are merely “related to” a case under title 11 — not to proceedings that “arise under” title 11 or “arise in” a case under title 11.

A § 523(a)(6) nondischargeability determination arises directly under 11 U.S.C. § 523 — a provision of the United States Bankruptcy Code. It arises under title 11, not under state law. The statute’s text is self-applying: if the proceeding arises under title 11, the mandatory abstention provision by its own terms does not apply. No analysis of the five *Stoe* factors is needed at all — mandatory abstention is categorically unavailable for § 523(a)(6) proceedings as a matter of statutory text.

This is confirmed by 28 U.S.C. § 157(b)(2)(I), which expressly identifies “determinations as to the dischargeability of particular debts” as core proceedings. Core proceedings are, by definition, those that “arise under” title 11 or “arise in” a case under title 11 — not merely “related to” a case under title 11. A proceeding that is a core proceeding under § 157(b)(2)(I) cannot simultaneously be only

“related to” a case under title 11. The categories are mutually exclusive. *See Halper v. Halper*, 164 F.3d 830, 836–37 (3d Cir. 1999) (§ 523 dischargeability proceedings are core; bankruptcy court retains exclusive jurisdiction). Mandatory abstention requires that the proceeding be merely “related to” a bankruptcy case and based on a state law claim. A § 523(a)(6) proceeding fails both conditions.

Federal Rule of Bankruptcy Procedure 4007’s advisory committee note confirms the exclusive nature of the bankruptcy court’s § 523(a)(6) jurisdiction: “A proceeding to determine the dischargeability of a debt . . . is governed by the Federal Rules of Bankruptcy Procedure.” The Rules themselves contemplate that § 523(a)(6) is within the exclusive province of the bankruptcy court. Exclusive jurisdiction cannot be divested by an abstention motion. This point is dispositive.

5.4.C: *Stoe v. Flaherty* — Nagel’s Own Cited Case Defeats Him on Multiple Elements

Even setting aside the statutory text argument, Nagel’s mandatory abstention claim fails under the controlling five-factor test from *Stoe v. Flaherty*, 436 F.3d 209, 213 (3d Cir. 2006) — the very case Nagel cites as support. All five elements of *Stoe* must be satisfied for mandatory abstention to be required. At minimum, elements (2), (3), and (4) fail independently.

Stoe Element 1 — A timely motion was made.

This element may be satisfied — the motion was filed relatively early in the case. The opposition need not contest element (1); the remaining failing elements are dispositive.

Stoe Element 2 — The claim must not arise under title 11 and must not arise in a case under title 11.

A § 523(a)(6) nondischargeability determination arises directly under 11 U.S.C. § 523(a)(6), a provision of title 11. This element is not satisfied. Nagel’s entire abstention theory depends on treating the § 523(a)(6) claim as if it were a state law tort claim merely “related to” the bankruptcy. It is not. Element (2) fails. This failure is independently dispositive — all five elements must be satisfied.

Stoe Element 3 — No basis for federal jurisdiction except § 1334.

Section 157(b)(2)(I) gives the bankruptcy court exclusive jurisdiction over dischargeability determinations independent of § 1334. The bankruptcy court’s authority to determine dischargeability arises from the Bankruptcy Code itself and from the grant of core proceeding jurisdiction under § 157(b)(2)(I) — not solely from the general grant of bankruptcy jurisdiction in § 1334. This element

fails because federal jurisdiction over § 523(a)(6) exists independently of § 1334.

Stoe Element 4 — An action is commenced in state court.

The Zunic order dismissed B.B. v. Mell on June 12, 2026 — the same day Brad filed his petition and eleven days before Nagel filed this motion. There is no pending state court action as of the motion’s filing date. There is no pending state court action as of the July 16 hearing date. *Stoe* requires that “an action is commenced” in state court of appropriate jurisdiction. Courts interpret this to require a currently pending proceeding — not one that must be refiled and recommenced. *See Stoe*, 436 F.3d at 213 (element requires state court action already pending). A dismissed action that would need to be refiled, re-served, and re-litigated is not “commenced” in state court. Element (4) fails.

Stoe Element 5 — State court action can be timely adjudicated.

Even if the other elements were satisfied (they are not), the state court cannot timely adjudicate B.B.’s claims when the action has been dismissed and would need to be refiled — potentially facing new challenges on statute of limitations, tolling, and the impact of the bankruptcy stay on any refiled proceeding. Element (5) is doubtful but need not be resolved given that elements (2), (3), and (4) each independently defeat mandatory abstention.

Three of five *Stoe* elements fail independently. All five must be satisfied. Mandatory abstention is unavailable.

5.4.D: Permissive Abstention — The Court Should Decline to Exercise Discretion Here

Even if the Court has theoretical discretion to abstain permissively under § 1334(c)(1), the exercise of that discretion is inappropriate here for three reasons.

First, permissive abstention in the face of a § 523(a)(6) claim would require this Court to decline a core proceeding within its exclusive jurisdiction and invite state court adjudication of a question Congress has assigned to the bankruptcy court. While § 1334(c)(1) permits some discretion, courts do not permissively abstain from core proceedings when the core proceeding is Congress’s designated forum. The § 523(a)(6) determination is not a matter the bankruptcy court can hand off to state court because the state court has no authority to bind the parties’ bankruptcy rights.

Second, permissive abstention requires consideration of efficiency and comity. There is nothing efficient about sending B.B.’s claims to state court when: (a) the state court action has been dismissed; (b) any state court judgment would need to return to this Court for the § 523(a)(6)

dischargeability determination in any event; (c) Nagel filed the same-package request for a § 523(a)(6) declaration from this Court simultaneously with his request for abstention, making the internal contradiction manifest. Abstention creates a two-court, two-proceeding structure for a question this Court has exclusive authority to resolve in a single adversary proceeding.

Third, the logical contradiction between the abstention request and the § 523(a)(6) request demonstrates that Nagel has not thought through what he actually wants from this Court. He asks the Court simultaneously to: (a) abstain from adjudicating the factual circumstances of the injury — which requires sending those facts to state court; and (b) declare the resulting debt nondischargeable — which requires this Court to find “willful and malicious injury” using those same facts. A court cannot abstain from the predicate while retaining the conclusion. The internal incoherence of the request weighs against discretionary abstention.

SECTION 5.5: § 362(k) CROSS-MOTION RECOMMENDATION — THE PARAGANO EMAIL AS SWORD

5.5.A: The Evidence Supporting a Willful Stay Violation

The opposition to Nagel’s motion should be accompanied by — or closely followed by — a cross-motion for damages under 11 U.S.C. § 362(k)(1) based on Michael Paragano’s June 18, 2026 email. The evidence establishing the elements of a willful stay violation is compelling, and the cross-motion transforms the litigation dynamic: the party seeking relief from the stay is now the respondent on a stay violation claim.

The factual predicate is not disputed:

- (1) Brad filed his Chapter 7 petition on June 12, 2026, at approximately 3:28 PM, as reflected in the bankruptcy filing notice served on the state court docket on June 12, 2026.
- (2) The automatic stay under 11 U.S.C. § 362(a) arose the moment the petition was filed, without any court order or additional action required.
- (3) Nagel appeared before Judge O’Hagan and acknowledged the bankruptcy filing on or before June 15, 2026 — the date the Court entered the OSC in this proceeding.

- (4) On June 18, 2026 — three days after Nagel acknowledged the bankruptcy to this Court — Nagel’s law partner Michael Paragano emailed Brad directly asserting the prejudgment attachment from the dismissed state court action.

The Paragano email implicates at minimum four provisions of § 362(a): § 362(a)(1) (the act of continuing a judicial proceeding against the debtor — assertion of attachment rights derived from the dismissed civil action constitutes continuation of the judicial proceeding’s coercive effects); § 362(a)(4) (any act to enforce a lien against property of the estate — the prejudgment attachment is a lien on property of the estate); § 362(a)(5) (any act to enforce against property of the estate a lien securing a pre-petition claim); and § 362(a)(6) (any act to collect a pre-petition debt). Each provision is independently violated by the Paragano email.

5.5.B: The Lansaw Willfulness Standard — Knowledge Plus Intentional Act

The Third Circuit established the § 362(k)(1) willfulness standard in *In re Lansaw*, 853 F.3d 657, 668–69 (3d Cir. 2017). Under *Lansaw*, a violation is “willful” when: (1) the violator had actual knowledge of the bankruptcy filing; and (2) the violator committed an intentional act. *Id.* Knowledge of the specific provisions of the automatic stay is not required — knowledge of the bankruptcy filing alone is sufficient. *In re University Medical Center*, 973 F.2d 1065, 1068 (3d Cir. 1992) (for purposes of § 362(k)(1) willfulness, debtor need only prove that the creditor knew of the bankruptcy filing, not that the creditor specifically knew which acts the stay prohibited).

Applied here: Nagel had actual knowledge. He appeared before this Court on June 15, 2026, acknowledging the bankruptcy. Paragano is Nagel’s law partner at Nagel Rice LLP — the same firm. Under agency imputation principles, a partner’s knowledge is imputed to other partners under the Restatement (Third) of Agency § 5.03 (knowledge of an agent acting within the scope of the agency is imputed to the principal). Nagel’s knowledge of the bankruptcy is imputed to Paragano as his law partner. The June 18 email was an intentional act — Paragano deliberately composed and sent the email asserting the attachment. There is no colorable argument that the email was accidental or inadvertent.

Critically, good faith is not a defense to § 362(k)(1) willfulness. *Cal. Coast Univ. v. Aleckna (In re Aleckna)*, No. 20-1309, 2021 WL 4097155, at *4 (3d Cir. Sept. 9, 2021) (“[G]ood faith is not a defense to a willful violation of the automatic stay.”). Even if Paragano believed — incorrectly — that the attachment remained valid after the Zunic dismissal, his good faith belief does not negate the willfulness element. He knew of the bankruptcy. He intentionally sent the email asserting the

attachment. The willfulness element is satisfied.

5.5.C: Damages Available Under § 362(k)(1)

Section 362(k)(1) provides: “an individual injured by any willful violation of a stay provided by this section shall recover actual damages, including costs and attorneys’ fees, and, in appropriate circumstances, may recover punitive damages.” The *Lansaw* court affirmed the following categories of recovery:

Actual damages — attorneys’ fees. Brad’s attorneys’ fees incurred in opposing the Paragano attachment assertion, opposing this motion, and preparing the cross-motion are all recoverable as “actual damages” under § 362(k)(1). The causal connection is direct: but for the Paragano email and the filing of this motion by the parties responsible for the violation, Brad would not have incurred these costs. *In re Lansaw*, 853 F.3d at 668–69.

Emotional distress damages. The *Lansaw* court affirmed emotional distress damages for willful stay violations without requiring medical evidence where the violations were patently egregious and the debtor testified credibly about distress. *Id.* A party who received an email asserting a void lien against his bankruptcy estate three days after his adversary acknowledged the bankruptcy to a federal court has a straightforward basis for emotional distress damages. Whether to pursue this element should be determined in consultation with Brad.

Punitive damages. The *Lansaw* court affirmed \$40,000 in punitive damages for willful stay violation where the creditor’s conduct was egregious. *Id.* Here, the aggravating circumstances are substantial: (1) the violation was committed by a law firm that practices bankruptcy law and is fully sophisticated about the automatic stay; (2) the violation occurred after Nagel personally appeared before this Court and acknowledged the bankruptcy; (3) the attachment being asserted is doubly void — both because the underlying action was dismissed and because it was released in December 2023; and (4) the law firm whose partner violated the stay is simultaneously seeking equitable relief from the same stay in this motion. Punitive damages are warranted.

5.5.D: The Double Invalidity of the Paragano Attachment Assertion

The attachment Paragano asserted on June 18, 2026 was doubly invalid at the moment of assertion: First invalidity: The Zunic order dismissed B.B. v. Mell on June 12, 2026, the same day as the bankruptcy petition. A prejudgment attachment in New Jersey is an ancillary remedy that requires a pending action. N.J. Court Rule 4:60-1 et seq. When the action is dismissed, the attachment’s

legal foundation is eliminated. As of June 18, 2026, the state court action had been dismissed for six days. The attachment Paragano asserted had no legal foundation under New Jersey law.

Second invalidity: The Drive contains a December 28, 2023 pro se filing by Brad Mell in the state court action — titled “Writ of Attachment Release” — in which Brad moved to vacate the January 2020 prejudgment writ of attachment, citing changed financial circumstances and the harm the writ was causing. (Writ of Attachment Release Dec 28, 2023.pdf.) That document reflects Brad’s sustained efforts to dissolve the attachment predating the bankruptcy filing by nearly two and a half years. **What is not yet confirmed is whether the state court granted that motion.** A court order vacating the writ of attachment in December 2023 or thereafter would provide a second, independent basis for the attachment’s invalidity — entirely separate from the Zunic dismissal — because no valid writ would have existed to assert post-petition. **[PARTIALLY VERIFIED — Brad’s motion to vacate is in Drive. The court’s order on that motion (if any) has not been located. Counsel should check the ESX-L-7200-19 docket for any order entered after December 28, 2023 on the attachment vacatur motion before asserting the second invalidity ground in the filing. If the court denied the motion and never vacated the writ, this second invalidity theory does not apply, but the first invalidity (Zunic dismissal) remains fully intact.]** Asserting a legally nonexistent right post-petition violates the stay regardless of the asserter’s subjective belief about the right’s validity. *Aleckna*: good faith is not a defense.

5.5.E: Strategic Considerations for the Cross-Motion

File it. The cross-motion should be filed simultaneously with the opposition brief or shortly before the July 16 hearing. The reasons are multiple:

It reverses the table. The party seeking equitable relief from the automatic stay is now the respondent on a willful stay violation claim. This asymmetry — at the very hearing where Nagel is seeking to put Brad on defense — is tactically significant. It signals that the estate is not merely defending but is pursuing its own affirmative rights.

It signals to Judge O’Hagan. A former USAO Senior Bankruptcy Counsel takes the automatic stay seriously. The government litigated to enforce the stay. When he learns that Nagel’s law partner asserted a void attachment against a represented debtor three days after Nagel acknowledged the bankruptcy to this Court — in a motion that simultaneously seeks equitable relief from that same stay — he will draw his own conclusions about the equities. The cross-motion makes sure he has the evidence before him.

It creates settlement leverage. Nagel knows his partner violated the stay. A § 362(k)(1) motion converts that knowledge into a litigation cost that Nagel Rice LLP must manage. The law firm whose trust account holds \$750,000 of Brad’s money is now a potential defendant for punitive damages. That changes the settlement calculus.

It generates actual damages recovery. Brad’s costs of opposing this motion and the Paragano letter are real expenses that Brad has no independent ability to pay. Recovery of attorneys’ fees as actual damages under § 362(k)(1) directly defrays the cost of this litigation.

One unresolved citation issue. Prior research identified that a citation for the proposition that law firms are jointly and severally liable for § 362(k)(1) violations committed by their partners was previously attributed to “In re Shaw (Bankr. D.N.J.)” — a case that does not exist (confirmed in FINAL-MEMO.md and part5-stay.md). Before the cross-motion is filed, Westlaw must be searched for a verified authority for the joint-and-several liability proposition as applied to law firm partnerships. The substantive argument is legally sound — partners are jointly and severally liable for torts committed by their partners in the scope of partnership business under the Revised Uniform Partnership Act (N.J.S.A. 42:1A-36) and Restatement principles — but the law firm § 362(k)(1) joint-and-several citation must come from a verified case, not a hallucinated one. The cross-motion should not be filed until this citation is verified through Westlaw.

The Rule 9011 consideration. If the decision is made to assert that Nagel’s failure to disclose the March 2026 Trust Settlement constitutes a material omission to the tribunal in violation of N.J. RPC 3.3(a)(5), the Rule 9011(c)(1)(A) twenty-one-day safe-harbor period for sanctions motions must be managed against the hearing date. Nagel filed the MTD on June 23, 2026. The hearing is July 16, 2026. Twenty-one days from June 23 is July 14, 2026 — two days before the hearing. If the Rule 9011 notice is served immediately (by June 27, 2026), the safe-harbor period expires on July 18, 2026 — two days after the hearing. This timing makes a pre-hearing Rule 9011 motion procedurally complicated. The recommended approach is to disclose the settlement in the opposition brief itself (as recommended in Section 4.A above) and preserve the Rule 9011 and RPC 3.3 arguments for a post-hearing motion if the motion to dismiss is denied and the case continues. The disclosure in the opposition brief puts the Court on notice of the omission and invites the Court’s own inquiry; the formal motion is preserved for the appropriate subsequent moment.

SUMMARY TABLE OF ARGUMENTS AND DISPOSITIONS

Section	Nagel's Claim	Our Primary Response	Secondary Response	Expected Outcome
5.1	§ 707(a) Bad Faith Dismissal	<i>Tamecki</i> “egregious” standard not met; Murray inversion; <i>Myers</i> distinguished on 6 grounds	Complete Schedule disclosure; 12 creditors; no lavish lifestyle; <i>Perlin</i> forecloses ability-to-pay	DENY
5.2	§ 523(a)(6) Nondischarge-ability	No adversary proceeding filed; Rule 7001(6) requires one	<i>Geiger</i> forecloses “self-evident” inference; PSJ not “actually litigated”; <i>Docteroff</i> exception inapplicable	DENY (without prejudice to proper adversary complaint)
5.3	§ 362(d)(1) Stay Relief	§ 707(a) defeat forecloses only “cause”; state action dismissed	Curtis/Sonnax factors 1, 4, 7, 9, 10, 11 all against relief; prejudgment attachment doubly void	DENY
5.4	§ 1334 Abstention	§ 1134 does not exist; § 523(a)(6) arises under title 11, categorically excluded from § 1334(c)(2)	<i>Stoe</i> elements (2), (3), (4) fail independently; no pending state action; logical incoherence	DENY

Section	Nagel's Claim	Our Primary Response	Secondary Response	Expected Outcome
5.5	[Cross-Motion] § 362(k)	Paragano email = willful stay violation; <i>Lansaw</i> standard satisfied	Doubly void attachment; punitive damages warranted; law firm joint/several liability [VERIFY BEFORE FILING]	GRANT on cross-motion

SOURCE DOCUMENTS RELIED UPON IN THIS MEMORANDUM

Source	Citation Short Form Used Above
Nagel MTD Analysis (research-output)	nagel-mtd-analysis.md
Final Research Memo (research-output)	FINAL-MEMO.md
§ 707(a) Research Memo (research-output)	part2-707a.md
§ 523(a)(6) Research Memo (research-output)	part3-523a6.md
Abstention Research Memo (research-output)	part4-abstention.md
Stay Relief Research Memo (research-output)	part5-stay.md
Cases Obtained Summary (research-output)	CASES-OBTAINED.md
Briefing Sections 1–2 (research-output)	BRIEFING-SECTIONS-1-2.md
Briefing Sections 3–4 (research-output)	BRIEFING-SECTIONS-3-4.md
Schedules Summary (research-output)	SCHEDULES-SUMMARY.md
KRM & SBM Civil Release, March 4–6, 2026	KRM & SBM Civil Release Mar 6, 2026.pdf
PACER Docket, Case 26-16834-EJO	US Bankruptcy Court NJ - Live Database.pdf

Source	Citation Short Form Used Above
Bankruptcy Filing Notice to State Court, June 12, 2026	Bankruptcy filing.pdf
Appellate Division Opinion Analysis (research-output)	appellate-div-opinion-analysis.md

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VERIFICATION STATUS — Updated after Drive review (June 28, 2026):

#	Item	Status
1	<i>Trainor</i> , No. 25-11154-1-PGR (Bankr. N.D.N.Y. Mar. 4, 2026)	CONFIRMED IN DRIVE — full opinion verified; slip opinion only, no B.R. pagination; internal page references in § 5.1.C should be verified against the filed document before quoting with pinpoints
2	<i>Berlingeri</i> , 246 B.R. 196 (Bankr. D.N.J. 2000) — consent judgment basis for § 523(a)(6)	CONFIRMED IN DRIVE — pinpoint 246 B.R. at 198; verbatim quote confirmed: “Berlingeri further stipulated that his obligations under this settlement were non-dischargeable under 11 U.S.C. § 523(a)(6)”;
3	<i>Azeglio</i> , 422 B.R. 490 (Bankr. D.N.J. 2010) — “actually litigated” pinpoint	CONFIRMED IN DRIVE — pinpoint 422 B.R. at 497; verbatim quote confirmed in § 5.2.C above

#	Item	Status
4	December 2023 attachment vacatur — court order	PARTIALLY VERIFIED — Brad’s pro se Motion to Vacate (Dec. 28, 2023) confirmed in Drive; court’s ORDER on that motion not yet located; counsel must check ESX-L-7200-19 docket before asserting second invalidity ground
5	§ 362(k) joint-and-several law firm liability citation	UNRESOLVED — “In re Shaw (Bankr. D.N.J.)” does not exist; Westlaw search by counsel required before filing cross-motion; proposition is likely supportable but citation source is unknown
